Netflix: The right formula of Profitability and Cost

Stock Information	
Ticker	NASDAQ: NFLX
Shares Outstanding	445.5mn
Market Cap	$265.9bn
Adj. 52-Week Low	$285.33
Adj. 52-Week High	$624.42

Our team issues a BUY recommendation for Netflix. Inc. (NFLX) with a target price of $689.05, providing 13.5% upside on the closing price of $607.33 on 28 March 2024. The target price was estimated using the projected Free Cash Flow to Firm (FCFF) model. Our recommendation is based on Netflix's leadership position in the streaming industry, its international expansion strategy and the diversification of its revenue streams, overall transforming Netflix from a streaming pioneer to an entertainment powerhouse.

Netflix expected to remain the market leader and the most profitable

Netflix dominates the streaming industry with strong profitability and the largest subscriber base. Projected profit growth, coupled with strategic initiatives like ad-supported tiers, positions it for continued success in the booming global market. While past content spending has been exponential, Netflix has found the key to managing content spending and has achieved stable levels of content spending in recent years, which serves as a key driver for margin expansion for our forecast.

International expansion and subscriber growth fuelled by localisation strategy

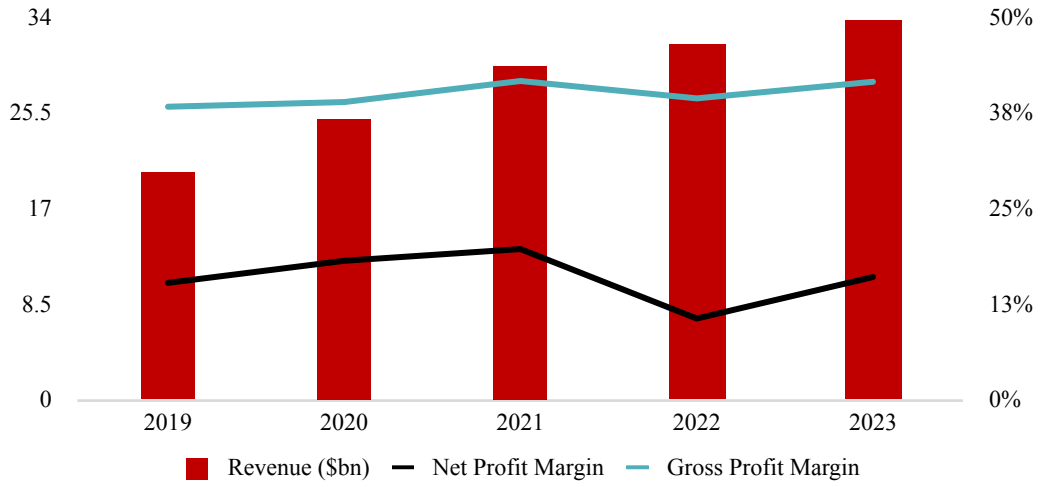
Netflix is shifting focus from its declining home market to promising emerging markets, where populations and internet usage are growing significantly. By introducing cheaper mobile-only plans, such as those in India, they aim to attract new users and expand their subscriber base without compromising revenue growth.

Evolution from streaming pioneer to entertainment powerhouse

Netflix's exclusive streaming deal with WWE for RAW, gaming ventures, and expanding ad-supported tier show promising growth prospects. Furthermore, their crackdown on password-sharing has been a big success, with 9 million new subscribers in Q3 2023, despite concerns of substantial subscriber loss. These new initiatives are key to transitioning Netflix into a well-rounded entertainment powerhouse, further expanding its total addressable market by attracting different consumers bases, which would significantly improve future subscriber growth and pricing power.

Netflix At A Glance

Netflix, Inc. is one of the world's leading streaming entertainment services with over 260 million paid memberships in over 190 countries enjoying TV series, films, and games across a wide variety of genres and languages. Members can play, pause and resume watching as much as they want, anytime, anywhere, and can change their plans at any time.

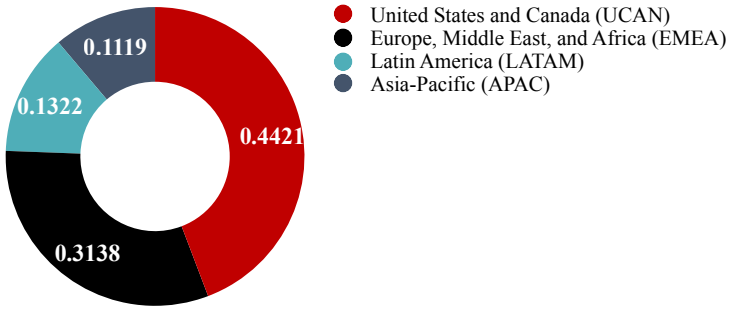


Business Segments and Business Model

Total revenue in billions and profit margins (2019 to 2023)

Netflix operates as one operating segment, with revenues generated from its streaming services after Netflix discontinued its DVD-by-mail service in April 2023. Revenues are primarily derived from monthly membership fees for services related to streaming content to members. Revenues are further segregated into four main regions: UCAN (United States and Canada), its home base, EMEA (Europe, Middle East, and Africa), LATAM (Latin America), and APAC (Asia Pacific).

Revenue per region (2023)



Plan	Features	Pricing
Basic	• 1 supported device • HD	$11.99
Standard	• 2 supported devices • Full HD • Option to add 1 extra	$15.49

Premium	• 4 supported devices • Ultra HD • Option to add 2 extra	$22.99

Netflix uses a subscription business model offering three types of subscription plans – basic, standard and premium. The tiers differ in terms of number of simultaneous viewings, streaming definition, downloads and options to add extra members. Plans are generally the same across countries, with some exceptions such as lower-cost, mobile-only plans in India. As of July 2023, Netflix has also replaced the basic, ad-free plan with the US$6.99 standard with ads plan, starting with countries such as the U.S. and the U.K.

SWOT Analysis

NETFLIX

	Evaluation
Strengths	In the past decade, Netflix has emerged as a popular household brand for online streaming content, amassing over 260 million paid memberships in more than 190 countries, which is the highest among streaming platforms. Subscribers have the capability to access streaming content across various platforms such as mobile devices and televisions (Parker, 2024). Additionally, subscribers can access content at any time, even when offline, through the 'download now (offline) feature'. Netflix boasts a diverse array of streaming content, including breakout hits like 'The Walking Dead' and more recent successes such as 'Suits'. The platform has capitalized on changing market dynamics, leveraging its extensive content library to negotiate licensing deals with media companies. This approach reduces the need for high-risk original production investment while providing additional revenue to these media entities, resulting in a mutually beneficial arrangement. Furthermore, Netflix places a high value on originality and has cultivated a strong portfolio of intellectual property. Globally successful shows like "Squid Game: The Challenge" demonstrate the platform's prowess in original content creation. Netflix's strength in content innovation is further emphasised by the fact that some of these acclaimed shows are non-English-based, which helps in catering to its diverse global audiences (Chmielewski, 2024).

Weaknesses	Netflix bears a significant debt burden of over $14 billion in long-term debt due to its substantial investments in streaming content. Servicing this debt reduces profitability, especially considering that some debt's interest payments are subject to interest rate hikes, causing volatility in Netflix's profitability (Cap, 2024). Additionally, to maintain its vast array of content, Netflix annually spends over $17 billion (S, 2023). These content costs can escalate amidst saturation in the streaming industry, further squeezing its margins. Despite its substantial investment in content, Netflix has limited control as nearly three-quarters of its content are licensed (IndieWire, 2023). This leaves Netflix vulnerable to potential agreement failures or studios deciding to withdraw their content from the platform. Moreover, from the customer's perspective, subscribers are confined to the content available in their region. This limitation creates disparities in the content offerings across various countries, ultimately diminishing overall customer satisfaction levels (Story, 2024).

Opportunities	While Netflix boasts subscribers in 190 countries, its revenue is predominantly derived from the UCAN (44.2%) and EMEA (31.3%) regions (Statista, 2024). However, there are opportunities for Netflix to expand its revenue exposure from emerging markets like LATAM and APAC, thereby diversifying its income sources more evenly. Notably, Netflix's original series have garnered substantial popularity, suggesting the potential for the platform to produce more high-quality content and secure greater content control which sets it apart from competitors. Additionally, Netflix's investment in live programming, exemplified by its $5 billion deal with TKO Group Holdings to exclusively stream World Wrestling Entertainment's "Raw" and other content from 2025, presents an opportunity for expanded content offerings (Conn, 2024). The introduction of an ad-supported tier also signifies a promising avenue for revenue growth, evidenced by its rapid adoption by 23 million users (Reuters, 2024), suggesting its potential to become a significant revenue contributor. Furthermore, Netflix's crackdown on password sharing prompts households reliant on borrowed accounts to transition into paying memberships, creating opportunities for increased paid subscribers (Forbes, 2023). Beyond its streaming business, Netflix's strategic expansion into gaming, through in-house development and collaborations, positions it as a comprehensive entertainment powerhouse. This multifaceted approach, coupled with targeted strategies for revenue diversification and subscriber expansion, underscores Netflix's potential for sustained growth and market dominance (Netflix, 2023).

Threats	As the streaming industry becomes increasingly saturated, Netflix faces formidable competition from well-established rivals such as Amazon Prime Video, Disney+, HBO Max, and Apple TV+, all competing for the limited pool of subscribers. The expanding array of streaming platform options presents challenges in both attracting and retaining subscribers for Netflix. Moreover, technological advancements in streaming technology, virtual reality, and artificial intelligence have the potential to disrupt Netflix's business model, necessitating its continual adaptation for the platform to remain competitive. Economic downturns and global instability, such as ongoing wars, can also impact Netflix's revenue growth, as consumers tend to reduce discretionary spending during challenging economic periods. Furthermore, governments worldwide are imposing increasingly stringent regulations on the streaming industry. Changes in regulations, such as alterations to tax laws or content restrictions, could potentially affect Netflix's operations in certain regions (Story, 2024).

Industry Description

The U.S. Media and Entertainment industry includes movies and entertainment, broadcasting, cable and satellite, advertising, and video content directly to consumers over the internet. This includes a wide range of content such as movies, TV shows, documentaries, original productions and live events. Examples of companies within this industry include Warner Bros. Discovery, Paramount, and Disney. These companies generate revenue through streaming or broadcasting media content to consumers.

1. Balancing profits and costs

Subscriber growth for high-profile streaming services like HBO Max, Disney+, and Paramount are experiencing flattening subscriber numbers, influencing future content investments and strategic decisions. Streaming consumers are showing subscription fatigue with the average subscriber taking 4.2 services, down from 4.8 in 2022 (Investors.com, 2023). Platforms are trying to keep a careful balance between maintaining profitability and investing in future content (Forbes, 2023). Companies are also looking towards collaborations to launch streaming bundles to minimize the need to switch between various platforms. This led to numerous collaborations throughout 2023, including the HBO Max/Discovery+ merger (Morning Consult Pro, 2023), Showtime/Paramount+ bundle, and potentially a Paramount Global/Apple collaboration (The Current, 2024).

2. Strategic pivots to expand revenue streams

Apart from lowering churn and retaining subscribers, streaming services have also been focusing on improving monetisation and driving ARPU (Average Revenue per User) from ad-supported subscription tiers (Bloomberg Intelligence, 2023). For instance, Netflix pivoted to raise its prices, while rolling out ad-supported tiers to offset subscriber losses (CNBC, 2023). According to Netflix's management, scaling its advertisement business represents an opportunity to tap into significant new revenue and profit pools over the medium term. In Q4'23, membership for Netflix's ad-supported tier increased by nearly 70% quarter over quarter, and now accounts for 40% of all Netflix sign-ups in its ads market. Besides Netflix, Amazon Prime also launched a default ad-supported subscription tier in 2023 and is reportedly asking ad agencies to commit between $50-100 million in annual ad spend for 2024. Furthermore, Disney+ launched an ad-supported tier in the US in 2022 at $7.99 per month, and said that 50% of its new subscribers chose this new month plan over its pricier, commercial-free one (The Verge, 2023). Hence, the bulk of streaming companies are now pivoting towards improving monetization and growing ARPU, as they attempt to recalibrate their direct-to-consumer (DTC) subscription models (FitchRatings, 2023) and manage declining subscriber growth.

3. Focus on international markets to boost subscriber growth

The U.S. streaming market is nearing saturation, with more than 377 independent streaming providers and a market penetration of ~85% (Symphony AI, 2023). With slowing subscriber growth and higher churn rates, streaming services are increasingly looking at the international market as the most important frontier for business growth, especially emerging markets. One example is the APAC video streaming market which is expected to increase by a CAGR of 21.5% from 2023-2030 (Grand View Research, 2023) amidst rising internet penetration. Focusing on international markets means distributing more localized and foreign-language content. For instance, streaming services such as Apple TV ordered its first Russian language original in 2023, while Disney+ announced an ambitious plan to release 20+ new titles for its East Asian market by July 2024.

Netflix's Competitive Positioning

Since 2019, the streaming industry has been rapidly penetrated by new, highly capitalised players like Disney+. This issue has been exacerbated by an increasingly crowded US market, following the entry of HBO Max (owner of Game of Thrones) and Peacock in 2020, as well as Amazon Prime, Discovery+ and Paramount+ in 2021. However, despite heightened competition, Netflix still maintains its dominance, as proxied by the number of subscribers, as well as the quality of its content. For instance, Netflix boasted a global subscriber base of 282.6M in 1Q'24, which surpassed the 230.0M and 149.6M global subscribers of Amazon Prime and Disney+ respectively (Yaguara, 2023), as well as other major streaming players. Moreover, Netflix has successfully transitioned to a healthy content mix of produced and licensed content, with its content share for originals at 55% as of 2023, which is a long stretch from 2nd place's Amazon Prime at 25% (The Economic Times, 2023).

Netflix's Value Positioning

Netflix's value positioning is mainly centered around its innovation and content diversity. Netflix's innovation of creating its own algorithm to mine users' data aggressively has helped the company to serve its customers better by suggesting content that would appeal to them, including genres and talent, in real time (Investopedia, 2023). This results in a tailored customer journey unique to every user, a hallmark of customer-centricity (Digital Marketing Institute, 2023). As for content diversity, Netflix has invested heavily in original content which has seen great success, even achieving awards in the Oscars, Emmys, etc. Furthermore, its commitment to cater to a diverse audience across the world with increasing foreign content also drives its value positioning even further (Variety, 2024).

Forces	Evaluation
Bargaining power of suppliers – High	Suppliers of this industry include production firms, for licensing and creative talent (actors, writers, producers, etc). A few major studios and production companies dominate such content creation, giving them strong leverage in this aspect. The most recent Hollywood Writers' strike has impacted strong conglomerates like Disney and Netflix, with such work stoppages producing an estimated $10 billion in additional FCF over a 12-month period (Variety, 2023). Many of these film studios also provide licensing rights to streaming services, which gives them higher leverage as to who they wish to provide these rights to, especially as these services compete for the best films to be onboarded onto their catalogue (LinkedIn, 2023). This would subsequently reduce the profitability potential of the industry.
Bargaining power of buyers - Very High	There is immense bargaining power for consumers in the media and entertainment industry. With the abundance of options within the industry, customers have a very large influence. Switching costs for customers are very low, with almost very little price differences between services (Business Insider, 2022). They are also very well informed of the various categories of film and content they desire on each platform, allowing them to switch between services easily. Consumers are also price sensitive (Forbes, 2019) and may cancel subscriptions if they perceive a lack of value (Simon Kucher, 2023), tying in with the well-informed nature of consumers. This would subsequently reduce the profitability potential of the industry.

Threat of Substitutes - Moderate	The market is saturated with various streaming and entertainment services, offering diverse content libraries. Their presence, piracy, traditional media (cable TV), physical media (Blue-rays, DVDs) also pose threats as substitutes. Consumer preferences are shifting towards streaming, as cord-cutting becomes rampant (Statista, 2023). This lowers potential threats of substitutes as streaming may become the dominant preference amongst consumers. This would subsequently reduce the profitability potential of the industry.
Rivalry Amongst Existing Competitors – High	The streaming entertainment market is fragmented with numerous players vying for market share – dubbed as the "streaming wars" (Wall Street Journal, 2019). Competition for popular content drives up acquisition costs and reduces exclusivity (Financial Times, 2021), and said exclusivity comes at a very high cost, not only for new original content, but also classics (PWC, 2022). Frequent price wars also put pressure on profit margins amongst these streaming services (CNBC, 2023) High fixed costs are also needed to maintain such streaming services, from improvements to user interface, metadata management, content delivery, etc (Bloomberg Intelligence, 2023). This would subsequently reduce the profitability potential of the industry.
Threat of New Entrants – Low	Building and maintaining a streaming platform with quality content requires significant investment. Established players like Netflix, Disney+ and Hulu all have established brand recognition and dedicated customer bases. Acquiring licensing rights for popular content also require high expenditure (PWC, 2022). Established streaming services benefit from economies of scale, having already invested in extensive content libraries and global infrastructure. New entrants would face challenges would face challenges building a comparable content library and reaching a large audience (Sage Journals, 2023), as original incumbents of traditional video pivot to streaming services (StreamTV Insider, 2023). This would subsequently reduce the profitability potential of the industry due to the higher fix costs needed in the industry despite lower threat of new players.

Thesis 1: Netflix expected to remain the market leader and the most profitable

The streaming wars have forced players to pour money into a rather unprofitable business, and investors are no longer willing to overlook the lack of profit (Wall Street Journal, 2023). As the streaming industry, especially the the traditional media companies, shifts from subscriber growth to profitability, we see Netflix as the ultimate beneficiary from the industry rationalization. Netflix is currently the only profitable streaming service (Motley Fool, 2024), with competitors like Disney, Paramount, Peacock and Warner Bros. Discovery projected to generate roughly $3.2 billion in total 2024 streaming losses (Figure A). Meanwhile, the consensus is for Netflix's profit to rise by 30% in 2024 to $8.6 billion (Bloomberg Intelligence, 2023).

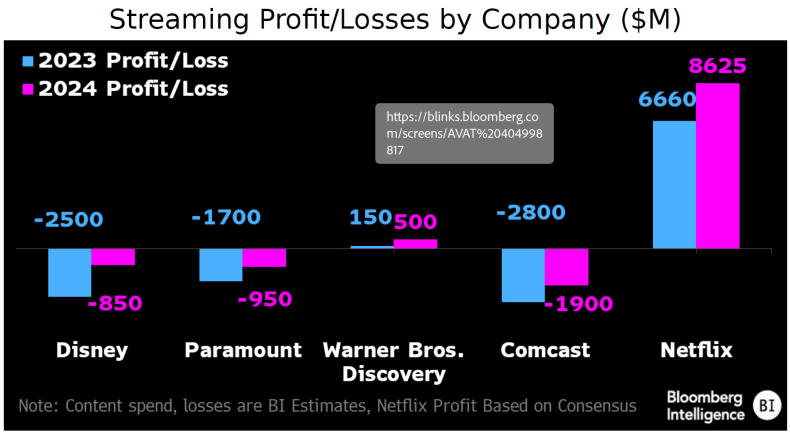


Figure A: Netflix is the most profitable streaming company by far

Not only does Netflix have the most subscribers of any streaming service, amassing a staggering 260.28 million global paid memberships as of end-2023 (Digital Trends, 2024), it is tens of millions ahead of its 2nd-place competitor Amazon Prime Video (Figure B).

Streaming Services with the Most Subscribers

Source: Digital Trends

	Streaming Platform	Users (in millions)
1	Netflix	247.2
2	Amazon Prime Video	200.0
3	Disney+	150.2
4	Max	95.1
5	Paramount+	63.4

Figure B: Netflix stays the most heavily subscribed streaming platform

Netflix, with its first-mover advantage in the streaming industry, has helped it scale and put itself in a league of its own, cementing its status as its market leader (Fool, 2023). More than 86% of users who subscribe to other

streaming platforms subscribe to Netflix (Figure C), which could be due to its perception as the market leader or that of higher perceived value amongst all the streaming platforms (Business Insider, 2021).

Users who subscribe to...	also subscribe to...							
	N	prime video	hulu	Disney+	HBO max	P	tv	FREE SERVICES
N		65%	51%	50%	13%	3%	23%	15%
prime video	86%		63%	61%	17%	4%	31%	20%
hulu	86%	80%		67%	20%	5%	34%	17%
Disney+	88%	82%	70%		20%	5%	36%	19%
HBO max	93%	91%	84%	81%		19%	55%	24%
P	91%	93%	87%	84%	76%		67%	36%
tv	91%	91%	79%	80%	31%	9%		20%

Figure C: Netflix remains key streaming platform among subscribers

Netflix's ad-supported tier and paid sharing initiatives look to further expand Netflix's subscriber base while driving high-margin incremental value (JP Morgan Equity Research, 2024). The global proliferation of global streaming media devices, fuelled by a strong 17.1% CAGR from $146.6B in 2023 to $270.3B in 2028 (Yahoo Finance, 2024) and increasing consumer preference for on-demand video consumption over the Internet, evident by the projected CAGR growth of 13% from $146.6B in 2023 to US$270.3B in 2027 (The Malaysian Reserve, 2024), is set to benefit Netflix greatly.

Netflix is projected to produce strong operating margins and have multi-year free cash flow (FCF) ramps, as 2024 operating margins could reach 24%, with spending driven towards high-impact projects (Bloomberg Intelligence, 2024). Netflix's 2024 content spend outlook implies a healthy mix of produced and licensed content and developing spends into sports of up to US$17B (WWE Raw, Formula 1: Drive to Survive, Tour de France: Unchained), setting it up for strong years ahead (JP Morgan Equity Research, 2024).

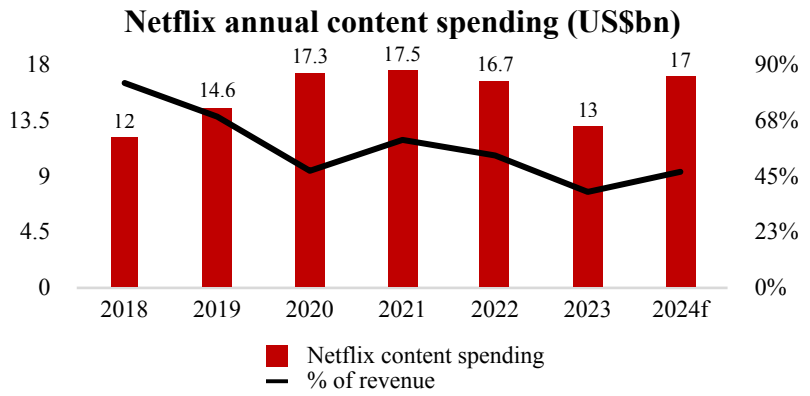


Figure D: Stable levels of content spending for Netflix in recent years

Overall, Netflix is projected to spend roughly $17 billion on content in 2024, steady with historical levels (Figure D). The flattening level of content spending in relation to revenue growth emphasises more disciplined content spending, which serves as a key driver for margin expansion in the forecast.

Investment Thesis 2

NETFLIX

Thesis 2: Netflix's localisation strategy to fuel subscriber growth through international expansion

As Netflix's subscriber growth slows in UCAN (United States and Canada), its home base, the emerging markets of EMEA (Europe, Middle East, and Africa), LATAM (Latin America), and APAC (Asia Pacific) present greenfield opportunities for higher subscriber growth. These regions have substantially larger total addressable markets, as their populations experience rising disposable incomes and digital literacy rates. For instance, Netflix's household penetration rate was 60% in UCAN in 2023, as compared to substantially smaller rates of 30% in LATAM, 18% in EMEA, and 9% in APAC (Statista, 2023). However, winning these markets is not a given for Netflix, given the dispersion of affluence and cultures within these regions. This means that Netflix cannot simply apply the same content and pricing strategies uniformly in their international expansion plans.

To this end, Netflix has taken an iterative approach to fine tuning its geographical expansion strategy for each region. For instance, the Indian market has a population with relatively lower disposable incomes vis-à-vis developed regions and a higher propensity to use smartphones to access the internet compared to TV Streaming Devices or PCs (Figure E).

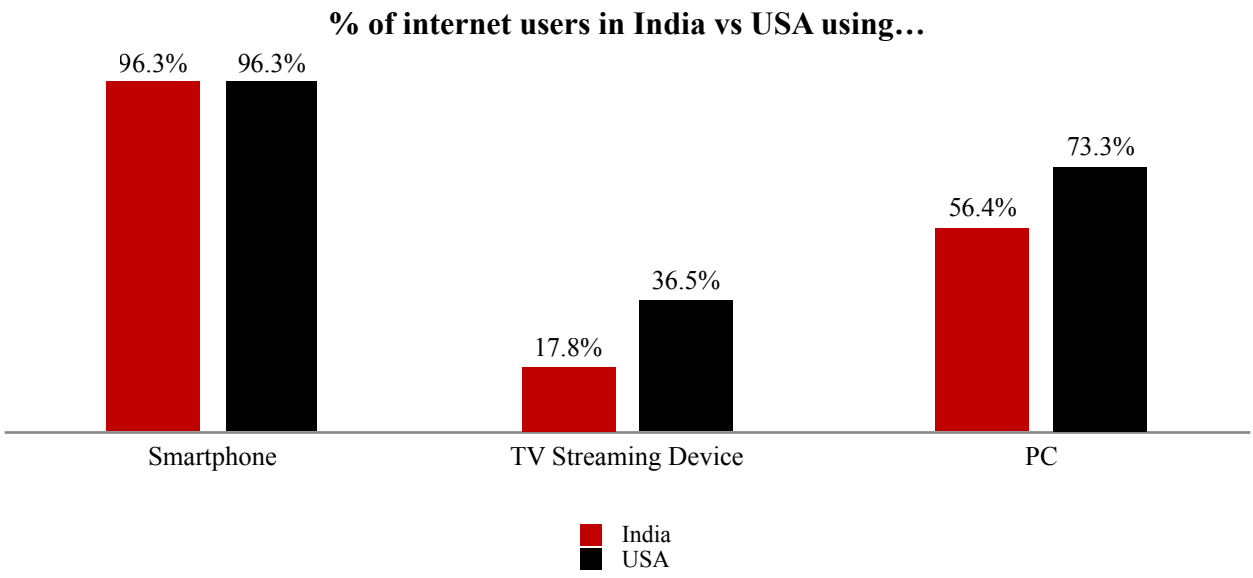


Figure E: India vs USA Internet Usage Habits

Hence, in a bid to attract more users, Netflix adapted the price of its first mobile-only plan in the Indian market in 2023 to Rs149 a month, a price that was 25% lower than its Basic plan, which allows users to stream on

mobile, computers or TV. This resulted in a ~40% surge in new subscribers in 2023 (The Economic Times, 2023). On the launch, CEO Gregory Peters commented that "we've been very, very happy with the mobile plan. It's actually performing better than we tested."

Furthermore, Netflix sought to replicate the success of its mobile plan in other markets with similar dynamics (Figure F), and launched it in the Southeast Asian regions of Indonesia, Malaysia, Thailand, and The Philippines. As a result of the launch of their mobile plans, management commented that they were able to acquire incremental subscribers, while seeing an increase in retention rates across subscription tiers. This this may be due to tailored offerings for each customer cohort, leading to better product-market fit for each tier, and thus resulting in heightened retention rates.

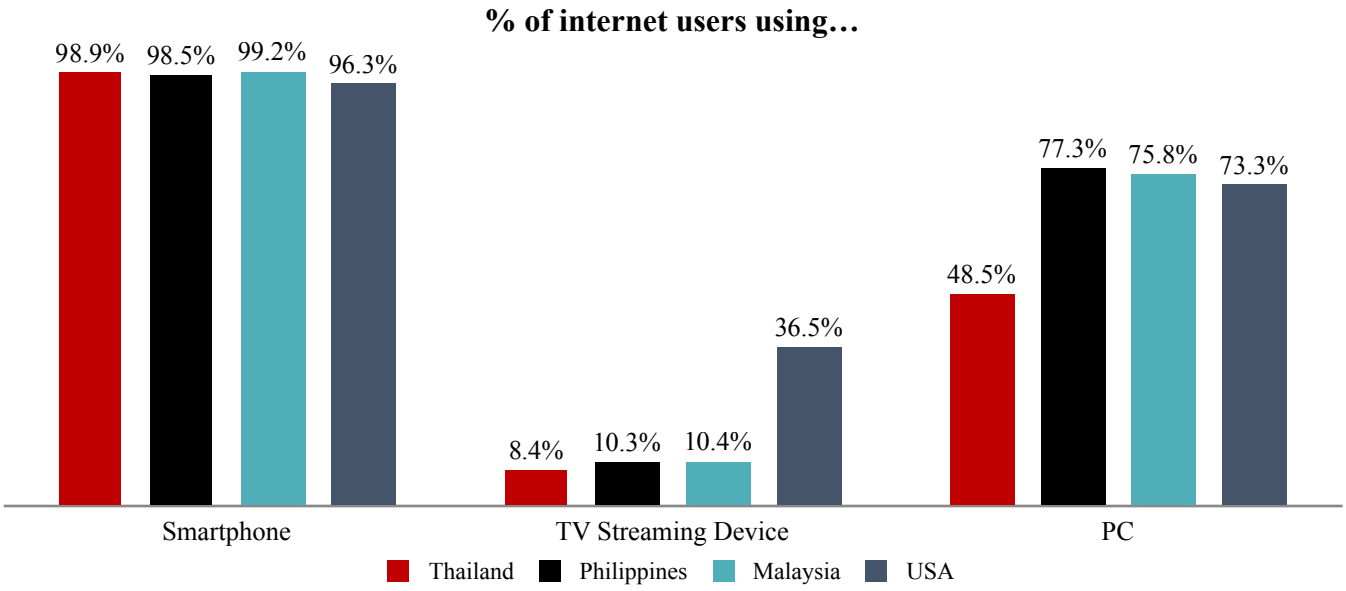


Figure F: SEA vs USA Internet Usage Habits

Building upon these incremental successes, Netflix has recently doubled down on this mobile strategy, and announced in their 2023 shareholder letter that they were bringing the mobile tier to 78 countries in Southeast Asia and Africa. We view this as a positive, as Netflix has had a good track record of balancing the decrease in ARPU (Average Revenue per User) with outsized gains in subscriber growth, such that revenue growth is not sacrificed.

Increasing focus on localised content to supplement pricing strategy

Apart from its localised pricing strategy, Netflix has also long recognised that the key to effective customer acquisition in international markets is its ability to cater content to local audiences. Consequently, it has been devoting growing resources to developing localised content. In 2023, Netflix is estimated to have spent 30% of its content budget on international titles (Netflix 2023 Earnings Transcript, 2024).

Moreover, an increasing proportion of Netflix Original and Exclusive titles have originated from the LATAM and APAC regions. For example, Netflix has pledged to increase its Asian content spend by 35% to an estimated US$1.9B in 2023 (Content Asia, 2023). In fact, in 2023, Netflix produced more Indian films/TV shows (27) than the entirety of 2021 (12) and 2022 (23) (Wikipedia, 2023).

Furthermore, building on the success of European hits like Lupin and Money Heist, the company has also been the largest commissioner of new scripted European content since 2021 (Deadline, 2023). Hence, given the broad success of Netflix's foreign shows and films, with Netflix's non-English titles generating 30% of all viewing hours globally (Forbes, 2023), it is plausible that hit localised content can help attract more international subscribers to boost revenues.

Investment Thesis 3

NETFLIX

Thesis 3: Increasing revenue streams – Netflix's evolution to entertainment powerhouse

Sports: Netflix recently announced a long-term partnership with World Wrestling Entertainment (WWE), a subsidiary of TKO Group Holdings, Inc. The US$5 billion partnership brings WWE's RAW away from linear television and exclusively to Netflix every week starting January 2025. The WWE RAW deal marks Netflix's initial long-term commitment to live sports events that appeal to a loyal and multi-generational fan base, underscoring Netflix's efforts to strengthen its portfolio offerings and diversify its revenue.

As one of WWE's flagship shows, RAW boasts 17.5 million unique viewers annually. Through this partnership, Netflix aims to achieve significant subscriber growth in both the United States and Canada (UCAN) and Latin America (LATAM) regions, with plans to expand into additional regions over time. Furthermore, Netflix will become the primary platform for all WWE shows and specials outside the U.S., including Raw, SmackDown, NXT, and the company's premium live events such as WrestleMania, SummerSlam, and Royal Rumble (Netflix, 2024). Live sports serve as a compelling strategy for Netflix to retain these viewers, who may have otherwise hesitated to subscribe following its password-sharing crackdown. As the exclusive provider of RAW, Netflix' pricing power and ability to earn more from membership fees is further strengthened by the deal.

Gaming: It has been just two years since Netflix announced its long-term ambition to position itself as a destination for must-play games. Currently, the company has more than 10 games in development in-house and, through deals with external teams, a total of 90 in progress. While still considered an early entrant, Netflix launched 40 games in 2023, laying the foundational groundwork toward its goal. Netflix is committed to building a gaming portfolio with variety and breadth, catering to all members with different interests. Their first step towards this long-term vision was to make games playable on every device. With a more extensive games catalogue, they are now curating the mobile games row by porting over popular computer games to the Netflix

mobile app. Netflix also leverages their famous algorithms to offer personalized gaming recommendations for each member (Netflix, 2023) based on individual viewing data.

Further ongoing efforts include tying games to Netflix shows, a strategy that will continue to expand, thanks to some of its first-party studios. Another endeavor is the new Los Angeles studio, led by developers with experience in creating big-budget console games, which is currently developing a AAA (industry jargon for big-budget) game for PCs (Axios, 2023). These investments will allow Netflix position itself as the next gaming, streaming and entertainment powerhouse, allowing it to tap into new areas of revenue growth.

Ad Tier Ramping: Netflix's advertisement-supported tier, despite its initial 23 million users being a minority compared to the total subscriber base, is showing promising signs. Implemented in late 2022, the ad tier saw significant user growth of 70% within the first three months of 2023, indicating continued strong early adoption. Notably, 40% of new sign-ups opted for this ad-supported option, demonstrating its effectiveness in attracting new customers (TheMotleyFool,2024). Netflix is strategically placing a major focus on the ad tier, aiming for it to become a substantial contributor to their revenue stream, with the potential to already reach more than 10% of total revenue in the coming years.

Advertising revenue for Netflix specifically is projected to reach $4 to 5bn by 2024, with the potential for further growth, hence significantly improving profitability over time. Netflix's already huge subscriber base and the vast advertising market offer significant opportunities for long-term revenue generation from advertising. The WWE deal further compliments the growth in advertising revenue as well by bringing substantial subscriber growth. Overall, the scale and execution of the ad-supported tier has been promising so far, and presents an optimistic path for Netflix to achieve healthy revenue growth and improve its operating margins in the future.

Password-Sharing Crackdown: Netflix's decision to crack down on password-sharing in the US, UK and Australia has shown early signs of success despite initial concerns about subscriber loss. The company not only maintained its subscriber base, adding 9 million new members globally in Q3 2023 (Figure G), but also achieved a healthy revenue of $8.5 billion (Reuters, 2023).

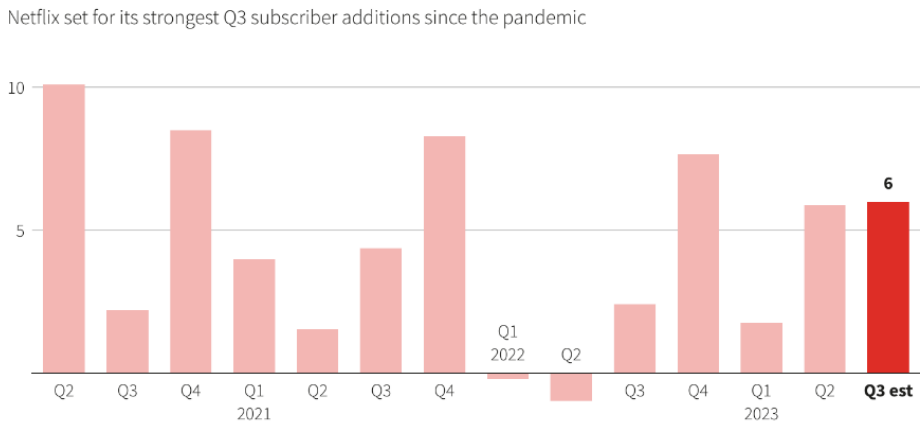


Figure G: Password sharing crackdown lifts Netflix's subscriber growth

Fears of mass cancellations due to the ban have not materialized, with cancellation rates remaining low. A positive trend is emerging where households previously relying on borrowed Netflix accounts are transitioning into paying memberships, indicating strong customer retention (Forbes,2023). Netflix's introduction of the paid sharing feature, which allows additional users outside of a household to share the account while paying a certain fee, has seen significant success, with a 10% increase in paying subscribers in the UK after its implementation (The Media Leader, 2024). Encouraged by the rollout, Netflix has now implemented the password-sharing restrictions in over 100 countries. (ChannelNewsAsia, 2023).

Furthermore, a survey by JP Morgan Equity Research suggests that 62% of NFLX borrowers who are currently sharing passwords would either become new subscribers (51%) or extra members under paid sharing (11%), which highlights the fact that there is still meaningful headroom to create a more accessible pool of new subscribers over time as Netflix continues to enforce its password-sharing crackdown.

Overall, these four initiatives are key to transitioning Netflix into a well-rounded entertainment powerhouse, further expanding its total addressable market, which would help improve subscriber growth and pricing power.

Financial Analysis

NETFLIX

Revenue Analysis

Netflix's revenues are almost entirely driven by its streaming services, which comprised 99.75% of overall revenue in FY23. Overall, revenue has been increasing at a healthy CAGR of 10.84% from FY19-FY23, albeit with decreasing YOY growth due to the maturation of the adoption cycle in developed markets.

ARPU has been steadily rising in Netflix's home ground UCAN, where the market is more highly penetrated (Figure H). Furthermore, LATAM was the second fastest growing market in terms of ARPU, as Netflix hiked subscription fees by an average of over 30% in major LATAM markets like Brazil, Mexico, and Argentina

(S&P Global, 2023). Meanwhile, ARPU in APAC has been flattish, likely due to Netflix's ongoing iterations of its pricing strategies in these lower-income regions.

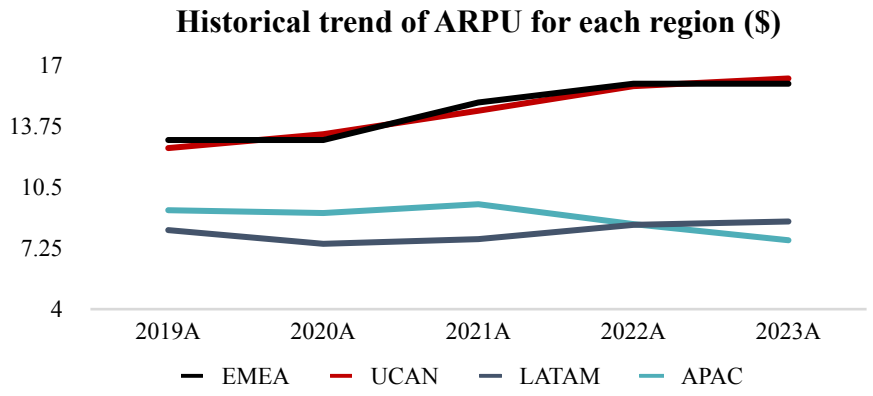


Figure H: ARPU per region (2019-2023)

However, the lower ARPU in markets like APAC and EMEA seem to be helping boost net additional subscribers, as shown by rapid growth in subscribers from the APAC and EMEA region (Figure I). For example, subscribers increased by 17.18% in APAC and 9.50% in EMEA in FY23, which were substantially higher than UCAN and LATAM's growth rates of 2.87% and 7.00% respectively.

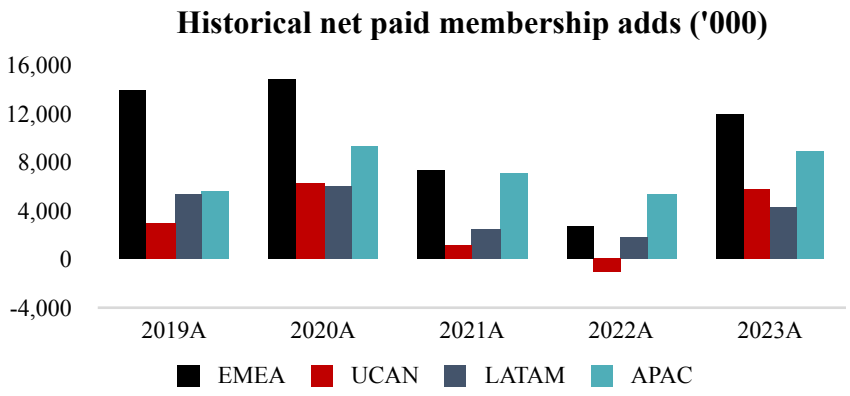


Figure I: Net paid membership additions per region (2019-2023)

Profitability Analysis

Overall, Netflix's gross and net margins have been increasing across the board, excluding the drop in FY22 due to aggressive expansion which created a spike in licensing and distribution fees. Gross margins steadily increased to 41.50% in FY23 due to steady levels of content spending (Figure J).

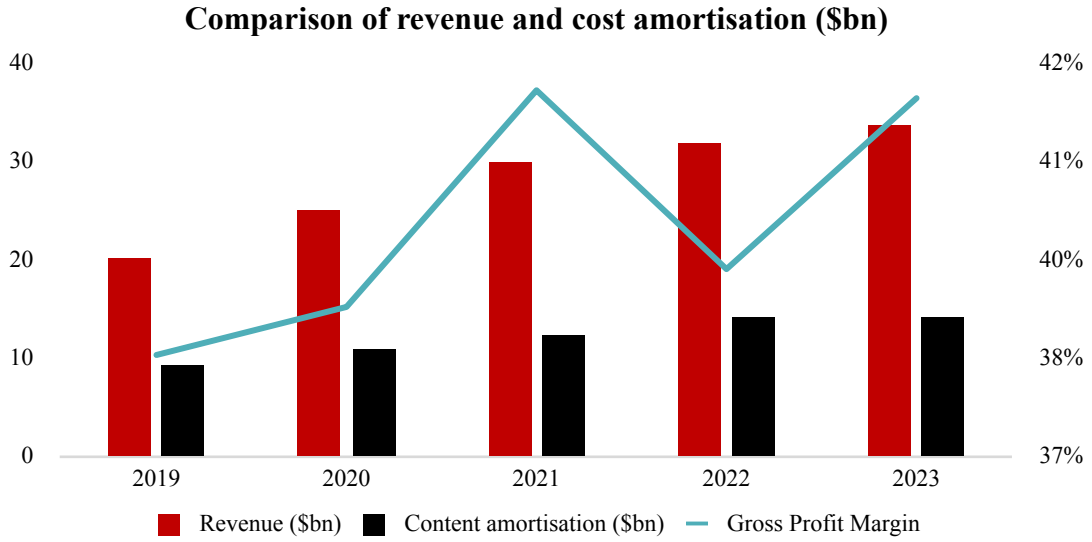


Figure J: Revenue and Content Amortisation figures (2019-2023)

For instance, amortisation of content assets only increased by 1% in 2023, down from the previous year's increment of 15%. This was despite:

- Rising costs of licensed content, amidst the mass migration of legacy content, increasing demand for licensed shows and driving content inflation of 30%.
- Rapid increase in original content production, which enjoyed a massive CAGR of 25.36% from FY19 to FY23 and caused new original titles to balloon to ~3,657 in FY23. Original content assets are amortised at a faster rate than licensed content, resulting in a front-loaded negative impact on gross margins, since the bulk of cost of revenues are related to amortisation of content assets.

Furthermore, Netflix's operating margins steadily increased from 12.92% in FY19 till 20.62% in FY23, due to the decline of marketing expenses relative to revenue. While marketing costs averaged ~US$2M in absolute figures since FY18, its % of revenue decreased substantially from 13.16% in FY19 to 7.88% in FY23, highlighting Netflix's ability to sustain healthy marketing costs while growing its subscriber base.

Balance Sheet & Cash Flow Analysis

Despite Netflix's sustained profitability, the state of its financial position is somewhat concerning. Operating cash flows only turned positive at $1.92B for the first time in FY20, driven by one-off factors like 1) massive subscriber growth during COVID-19 and 2) decrease in cash payment for content assets due to disruption in content schedules.

Much of this content spend is driven by debt, with debt-to-equity ratio steadily increasing from 1.07 in FY15 to 2.73 in FY19 (Figure K). That being said, this ratio has been consistently declining since FY20, with the debt-to-equity ratio decreasing by 74.00% to 0.71 in FY23.

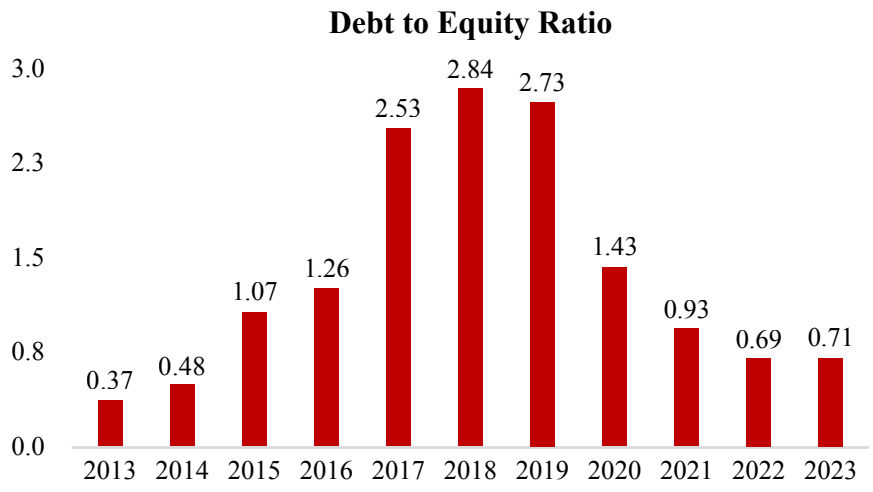


Figure K: Debt-to-Equity Ratio (2013-2023)

Furthermore, EBIT coverage ratio has been rising over the years from 4.16 in FY19 to 9.29 in FY23, signalling an increasing ability to pay off its interest costs (Figure L).

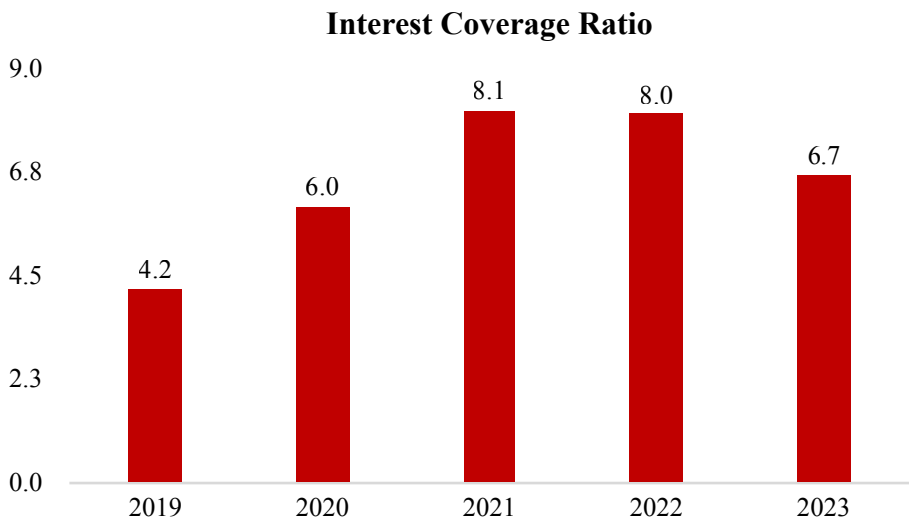


Figure L: Interest Coverage Ratio (2019-2023)

Operating Assumptions

Revenue Projections

As Netflix uses a subscription business model, we utilised a bottom-up approach to project subscription revenue by forecasting two key drivers: 1) **Average paying memberships** and 2) **Average revenue per user (ARPU)**. As each region has a variety of streaming membership plans including variation in prices and features and Netflix's strategy for each region is different, the forecasting of the drivers was done separately for all four regions, namely United States and Canada (UCAN), Europe, Middle East, and Africa (EMEA), Latin American (LATAM) and Asia Pacific (APAC).

Average paying memberships: Netflix's paid net membership additions for each quarter were tabulated over the past 5 years (2019-2023) to obtain a historical average of net membership additions. The paid net membership addition calculates the difference between the number of new subscribers added and the existing members that cancelled their subscription. An additional adjustment rate is then applied on top of the historical average to better reflect the expected impact of Netflix's recent initiatives to increase subscriber growth in each respective region.

UCAN: As mentioned above in the investment thesis, Netflix's domestic market of UCAN (United States and Canada) remains the most saturated with penetration already close to 60%, hence Netflix is expected to enter a more mature phase of subscriber growth in the region. On the other hand, we believe that the slow growth in UCAN will be mitigated by Netflix's recent introduction of an advertisement-supported subscription tier as well as its crackdown on password sharing. With both initiatives already showing early success in adding subscribers, we believe that the UCAN region memberships will have a growth rate of 8% in the forecasted period, supported by the deal with WWE RAW, whose fanbase will significantly add to UCAN subscribers (Figure M).

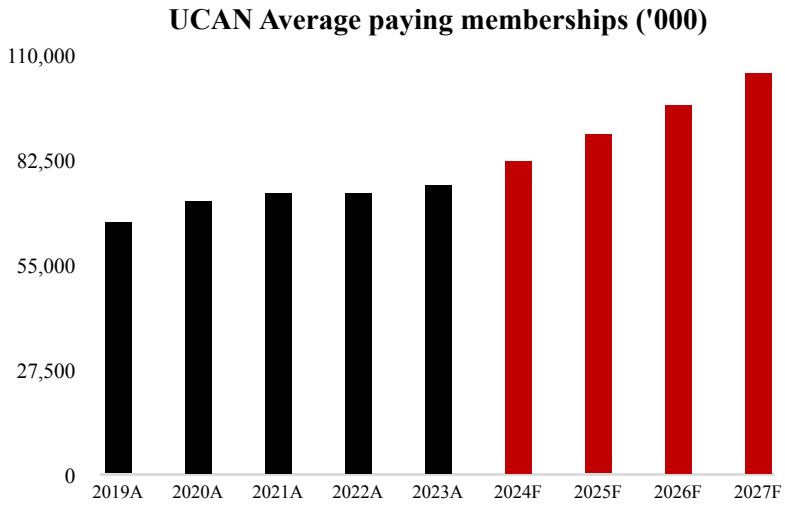


Figure M: UCAN Average paying memberships (2019-2027)

EMEA: As Western Europe reaches similar levels of penetration as the U.S., subscriber growth in EMEA previously fuelled by demand in Europe will make way for growth in Middle East and Africa countries. These regions will be key to adding subscribers in EMEA as smartphone adoption, access to mobile networks and availability of native-language content increase in the following years. Total streaming revenue is expected to reach US$4bn and US$2bn by 2027 for the Middle East and Africa respectively, up from US$1.7bn and US$623m in 2021 (SymphonyAI, 2022). Furthermore, most of this growth will go to Netflix who remains the market leader in EMEA, with almost as many EMEA subscribers (76.7m) as both Disney Plus and Amazon combined (81m) (Hollywood Reporter, 2023). To account for the growth within the emerging markets in EMEA, we assume a strong growth rate of 14% (Figure N).

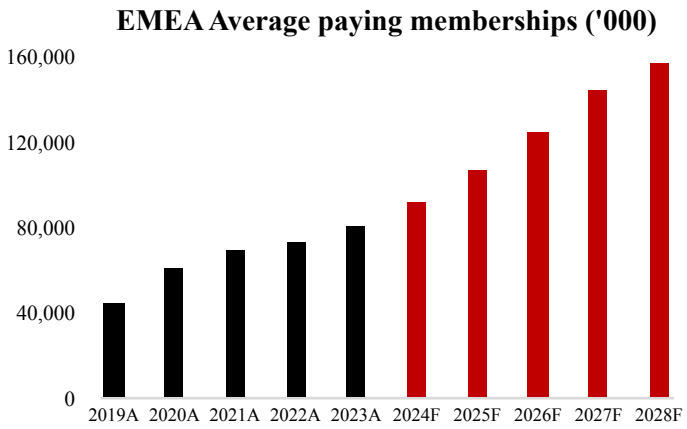


Figure N: EMEA Average paying memberships (2019-2028)

LATAM: Similar to the EMEA region, we expect moderately high growth in the emerging LATAM countries as technology advancement increases. Further expansion of its subscriber base is supported by Netflix's password-sharing crackdown and ad-supported tier. The WWE RAW deal as well as the gaming expansion are

also positive contributors to expected growth. We anticipate stable growth rates of 12% throughout the forecasted period (Figure O).

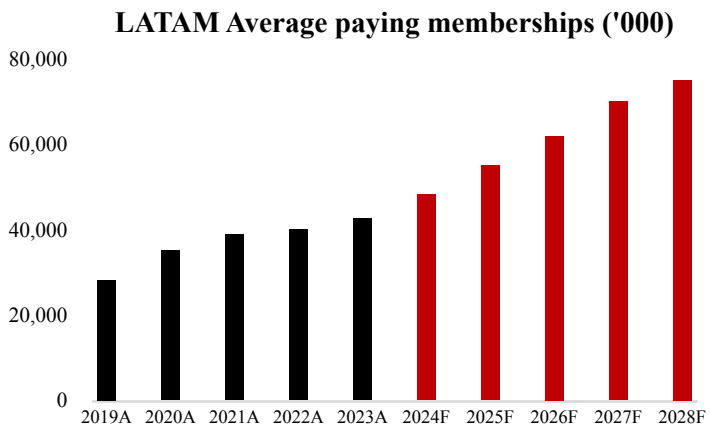


Figure O: LATAM Average paying memberships (2019-2028)

APAC: The APAC region has turned into Netflix's largest region for subscription growth, and is likely to continue being the largest contributor to Netflix's subscriber base. In the developed markets of Australia, Japan and Korea subscriber growth will likely come from Netflix's launch of ad tier subscriptions in these regions (Hollywood Reporter, 2023). As for the developing markets in Southeast Asia and India, there is high room for growth considering the increasing digital advancement and access to mobile networks, which is well aligned with Netflix's mobile strategy. Netflix's heavy investment in APAC localised content has been crucial in driving growth across APAC as well, with its Japanese anime and Korean dramas being among top-streamed titles in the region. APAC content investment is expected to continue increasing, and combined with the other initiatives, we expect Netflix to enjoy consistent rapid growth in APAC in the near future and project a 17% subscriber growth rate, which is the highest among all the regions (Figure P).

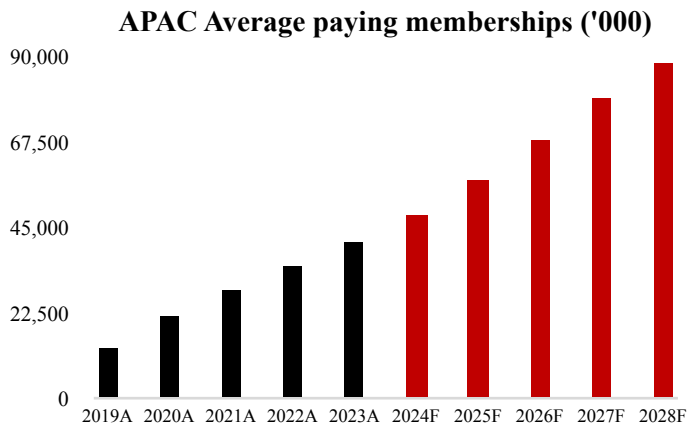


Figure P: APAC Average paying memberships (2019-2028)

Average revenue per user (ARPU): Change in ARPU is driven by the increase in prices of Netflix's subscription plans and fluctuations in foreign exchange rates. Due to the unpredictability of macroeconomic factors influencing foreign exchange rates, we only considered the change in subscriber fees. For the more developed markets of EMEA and UCAN, based on historical prices hikes, we expect an y-o-y ARPU increase of 3%. As for the less developed markets of LATAM and APAC, we believe that Netflix will continue to be slower in their price hikes to cater to the more price-sensitive consumers as Netflix builds up a more substantial subscriber base in these regions. Hence we project lower y-o-y ARPU increases of 2% for LATAM and APAC (Figure Q).

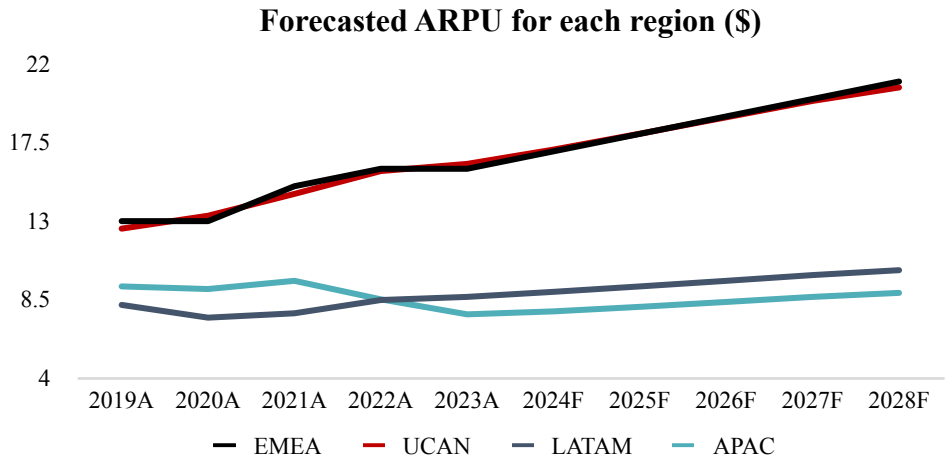


Figure Q: ARPU for each region (2019-2028)

For the ad tier subscriptions, while the ad tier is currently offered at a lower price than the other tiers, we believe that advertisement revenue will scale up sufficiently with continued growth in ad tier subscriptions. With the promising growth in the ad-supported tier, the average revenue per membership for the ad tier will

eventually become comparable to Basic or Standard pricing (JP Morgan Equity Research, 2024), which supports our projected ARPU growth rates as well.

Cost Projections

The main contributing factor for Netflix's cost of sales is the amortisation of content assets. As Netflix's revenue growth is reliant on its ability to distribute high quality content on its platform, we assumed that the content expenditures and amortisation will continue to grow alongside projected revenues, especially considering the heavy investments Netflix has placed into the WWE RAW deal and gaming expansions. On the other hand, as Netflix's content spend continues to remain a healthy mix of both produced and licensed content (Morningstar, 2024), we anticipate strong operating margin expansion in the forecasted period despite the content investments. As Netflix has completed the most cash-intensive part of its transition to originals & self-produced content, the transition in content mix will allow it to cut down on licensed content spending. Netflix has also shown greater discipline in its content spending as seen from the steady levels of content spending, which are expected to remain stable and hence drive spending efficiencies moving forward. We therefore expect content amortisation as a percentage of sales to decrease from 41% in 2024 to 36% in 2028.

The other remaining contributors to cost of sales include expenses directly associated with the acquisition, licensing, and production of content, streaming delivery costs, and other operations costs, which are expected to remain constant as a percentage of sales. Overall, we project gross margins for Netflix to improve from 43% in 2024 to 52% in 2028, mainly arising from accelerating revenue growth and reduced content spending (Figure R).

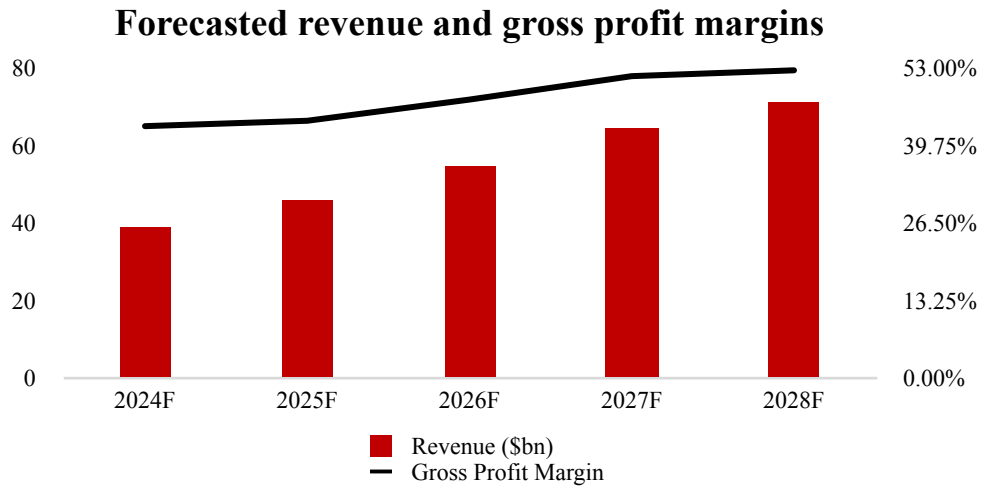


Figure R: Forecasted revenue ($ bn) and gross profit margins (2024-2028)

For the operating expenses, there are marketing, tech & development and general & administrative expenses. With the heavy investments in the WWE RAW deal and the gaming expansion, we believe that the operating expenses will increase once these initiatives launch, especially for the WWE collaboration which will start in 2025. As such, we used 2023 percentages which we believe would be most reflective of Netflix's future strategy, with marketing expense at 7.85% of sales, tech & development at 7.94% of sales and general & administrative expenses at 5.1% of sales. We then project additional increases in these expenses as these initiatives begin to kick off. We expect consistent increases in operating expenses, with a peak of 9.72%, 9.88% and 5.22% for marketing, sales & development and general & administrative expenses respectively.

Valuation

NETFLIX

DCF Valuation

We utilised a 2 stage Discounted Cash Flow (DCF) model consisting of a supernormal growth period for the forecasted period of 2024 to 2028 and a stable growth period after 2028. Based on a WACC of 9.04%, we derived a **target price of $689.05**, representing an **implied upside of 13.5%** based on prices on 28 March 2024.

Beta: The unlevered asset beta was calculated to be 0.76 by taking a set of comparable companies operating in the U.S. media and entertainment industry. We used market capitalisation for the market value of equity and book value of debt as a proxy for the market value of debt in the calculation of the debt to equity ratio for all companies. It was then levered using the Hamada equation based on Netflix's gross debt to equity ratio of 7.95% and a marginal tax rate of 21%. The levered equity beta for Netflix was derived to be 0.80.

Cost of equity: The risk-free rate was calculated using the 10-year U.S. treasury yield as an estimate. We then calculated Netflix's weighted average equity risk premium as 6.45% by considering the proportion of revenue

generated from each of the 4 regions (EMEA, UCAN, LATAM and APAC). Using the CAPM model, we derived Netflix's cost of equity to be 9.47%.

Cost of debt: The pre-tax cost of debt was calculated using the YTM approach, considering that Netflix does issue senior notes with semi-annual interest payments. Since Netflix provides in its Form 10-K the Level 2 fair value of the senior notes, its estimates for the fair value were then used to estimate the YTM of the latest senior note issued. We obtained a YTM of 4.66% to use for our pre-tax cost of debt. After applying the marginal tax rate of 21%, we calculated an after-tax cost of debt of 3.68%.

WACC: The weighted average cost of capital (WACC) for Netflix was calculated to be 9.04% using Netflix's total debt of $16.97bn and equity of $213.50bn.

Free Cash Flow (FCF) (Gordon)

		2024	2025	2026	2027	2028	Term
		31/12/2024	*31/12/2025*	*31/12/2026*	*31/12/2027*	*31/12/2028*	*31/12/2029*
Assumptions							
Valuation date	1/4/2024						
Terminal Growth	2.80%						
WACC	9.04%						
FCFF							
EBIT		9,257,178	11,252,760	16,300,304	23,413,767	27,750,899	
Tax on EBIT		1,189,578	1,446,017	2,094,643	3,008,746	3,566,082	
Tax rate		12.85%	12.85%	12.85%	12.85%	12.85%	
NOPAT		8,067,600	9,806,743	14,205,661	20,405,021	24,184,817	
Depreciation and amortisation		115,647	148,429	181,840	215,389	520,109	
CAPEX		(416,740)	(540,892)	(551,287)	(553,554)	(553,554)	
Change in net working capital		1,191,225	764,635	455,412	(504,353)	(364,705)	
Free Cash Flow to Firm (FCFF)		**8,957,733**	**10,178,916**	**14,291,627**	**19,562,503**	**23,786,668**	**24,453,327**

Free Cash Flows to Firm: We calculated the free cash flows to firm (FCFF) for the forecasted period of 2024 to 2028. FCFF increased from $8.96bn in 2024 to $24.45bn in 2028, providing a CAGR of 22.2%. Discounting all of the FCFF by the WACC gives us a total present value of $58.31bn for the high growth stage.

Valuation

NETFLIX

Terminal Value: Based on the breakdown of revenue generated from each region, we referenced forecasted 2028 nominal GDP growth rates from the IMF to determine a weighted average terminal growth rate of 2.80% to use in the stable growth stage. We derive a terminal value of $415.70bn by multiplying the final year (2028) FCFF using 1 + growth rate, and dividing it by the WACC minus growth rate. Implied enterprise value (EV) is then calculated to be $316.85bn.

Sensitivity Analysis

Dashboard: Perpetuity Method

Main Outputs

	Enterprise Value	Equity Value	Equity Per Share
Base Case	314,659,786	304,803,325	684.13
Bull Case	370,712,825	360,856,364	809.94
Bear Case	297,610,025	287,753,564	645.86

Selected Inputs

Terminal Multiple	9.48x
WACC	9.04%
Net Debt	(9,856,461)
Shares Outstanding	445,535
Actual Stock Price	**$ 607.33**

Enterprise Value

WACC \ Terminal Growth Rate	2.40%	2.60%	2.80%	3.00%	3.20%
8.0%	358,371,227	370,045,760	382,618,334	396,196,714	410,906,626
8.5%	326,882,481	336,517,799	346,829,280	357,890,687	369,786,917
9.0%	300,201,422	308,266,090	**316,851,059**	326,008,360	335,797,198
9.5%	277,311,539	284,142,803	291,381,903	299,066,486	307,238,979
10.0%	257,463,848	263,310,354	269,481,667	276,005,625	282,913,347

Equity Value per Share

WACC \ Terminal Growth Rate	2.40%	2.60%	2.80%	3.00%	3.20%
8.0%	782.24	808.44	836.66	867.14	900.16
8.5%	711.56	733.19	756.33	781.16	807.86
9.0%	651.68	669.78	**689.05**	709.60	731.57
9.5%	600.30	615.63	631.88	649.13	667.47
10.0%	555.75	568.88	582.73	597.37	612.87

Equity Value

WACC \ Terminal Growth Rate	2.40%	2.60%	2.80%	3.00%	3.20%
8.0%	348,514,766	360,189,299	372,761,873	386,340,253	401,050,165
8.5%	317,026,020	326,661,338	336,972,819	348,034,226	359,930,456
9.0%	290,344,961	298,409,629	**306,994,598**	316,151,899	325,940,737
9.5%	267,455,078	274,286,342	281,525,442	289,210,025	297,382,518
10.0%	247,607,387	253,453,893	259,625,206	266,149,164	273,056,886

Premium (Discount) to Stock Price

WACC \ Terminal Growth Rate	2.40%	2.60%	2.80%	3.00%	3.20%
8.0%	28.80%	33.11%	37.76%	42.78%	48.22%
8.5%	17.16%	20.72%	24.53%	28.62%	33.02%
9.0%	7.30%	10.28%	**13.46%**	16.84%	20.46%
9.5%	(1.16%)	1.37%	4.04%	6.88%	9.90%
10.0%	(8.49%)	(6.33%)	(4.05%)	(1.64%)	0.91%

Perpetuity method: We conducted a sensitivity analysis focusing on our two variables: the Terminal Growth Rate (g) and the Weighted Average Cost of Capital (WACC) employed in our calculations. The terminal growth rate was used to derive the terminal value through the Gordon Growth Model. Our analysis indicates that the equity value per share ranges from US$615.63 to US$781.16, with an expected upside of around 13.46%.

Scenario Analysis: We have also incorporated the use of three alternate scenarios, i.e., the base case, the bull case, and the bear case scenarios. These scenarios account for the variability in the future states of the business, the industry, and the economy. The primary distinctions among these scenarios lie in the assumptions for the drivers utilized in our projections, such as product prices, customer metrics, operating costs, inflation, interest rates, and other factors influencing the drivers of the business.

In our scenario analysis for the perpetuity method, the downside price of our equity value per share is US$645.86, while the upside price would be at US$809.94.

Dashboard: Multiples Method (EV/EBITDA)

Main Outputs

	Enterprise Value	Equity Value	Equity Per Share
Base Case	233,418,359	223,561,898	501.78
Bull Case	270,990,623	261,134,162	586.11
Bear Case	219,250,231	209,393,770	469.98

Selected Inputs

Valuation Date	1/4/2024
Terminal Multiple	9.48x
WACC	9.04%
Net Debt	(9,856,461)
Shares Outstanding	445,535
Actual Stock Price	$ 607.33

Enterprise Value

WACC \ Terminal Multiple	7.5x	8.5x	9.5x	10.5x	11.5x
8.0%	204,313,045	223,738,681	243,164,317	262,589,953	282,015,589
8.5%	200,615,204	219,608,305	238,601,406	257,594,506	276,587,607
9.0%	197,014,259	215,586,384	**234,158,510**	252,730,635	271,302,760
9.5%	193,507,223	211,669,573	229,831,923	247,994,272	266,156,622
10.0%	190,091,215	207,854,642	225,618,069	243,381,496	261,144,923

Equity Value per Share

WACC \ Terminal Multiple	7.5x	8.5x	9.5x	10.5x	11.5x
8.0%	436.46	480.06	523.66	567.26	610.86
8.5%	428.16	470.79	513.42	556.05	598.68
9.0%	420.07	461.76	**503.44**	545.13	586.81
9.5%	412.20	452.97	493.73	534.50	575.26
10.0%	404.54	444.41	484.28	524.15	564.02

Equity Value

WACC \ Terminal Multiple	7.5x	8.5x	9.5x	10.5x	11.5x
8.0%	194,456,584	213,882,220	233,307,856	252,733,492	272,159,128
8.5%	190,758,743	209,751,844	228,744,945	247,738,045	266,731,146
9.0%	187,157,798	205,729,923	**224,302,049**	242,874,174	261,446,299
9.5%	183,650,762	201,813,112	219,975,462	238,137,811	256,300,161
10.0%	180,234,754	197,998,181	215,761,608	233,525,035	251,288,462

Premium (Discount) to Stock Price

WACC \ Terminal Multiple	7.5x	8.5x	9.5x	10.5x	11.5x
8.0%	(28.14%)	(20.96%)	(13.78%)	(6.60%)	0.58%
8.5%	(29.50%)	(22.48%)	(15.46%)	(8.44%)	(1.42%)
9.0%	(30.83%)	(23.97%)	**(17.11%)**	(10.24%)	(3.38%)
9.5%	(32.13%)	(25.42%)	(18.70%)	(11.99%)	(5.28%)
10.0%	(33.39%)	(26.83%)	(20.26%)	(13.70%)	(7.13%)

EV/EBITDA Method: We conducted a sensitivity analysis utilizing two key variables: the EV/EBITDA exit multiple and the Weighted Average Cost of Capital (WACC). The EV/EBITDA multiple was applied to our projected free cash flow in the terminal year to determine the terminal value. This value was then discounted with all future cash flows to ascertain the present enterprise value of the company. With a terminal multiple range of 8.5x to 10.5x, our anticipated equity value per share spans from US$452.97 to US$556.05.

Scenario Analysis: In our scenario analysis for the EV/EBITDA multiples method, the downside price of our equity value per share is US$469.98, while the upside price is at US$586.11.

Relative Valuation

The aim of relative valuation is to evaluate the value of Netflix by juxtaposing it with other companies in the market that occupy similar positions. To achieve this, we have curated a roster of comparable firms and obtained their market valuations. Subsequently, we've selected a range of metrics for comparison with Netflix, taking into account that these competitors operate within the media and entertainment industry. This methodology allows our team to assess Netflix's position relative to its industry counterparts effectively. This enhances our valuation analysis, which also encompasses the Discounted Cash Flow method.

Selection of Peers: We've narrowed down our selection of peers for benchmarking to the following four listed companies within the Media and Entertainment Industry: The Walt Disney Company, Fox Corporation, Comcast Corporation, Paramount Global and AMC Networks, which we find most similar to Netflix's operating model.

Selection of Multiples: Our valuation methodology incorporates selected multiples, notably Enterprise Value to Sales (EV/Sales), Enterprise Value to EBITDA (EV/EBITDA), and Price to Earnings (P/E) ratios. The strategic inclusion of EV/Sales and EV/EBITDA ratios, being agnostic to capital structure, serves to effectively account for the impact of debt and minority interests across our chosen comparables. Furthermore, the P/E ratio is strategically employed due to its direct correlation with a company's stock price, offering a succinct reflection of market sentiment. This stands in contrast to metrics such as EV/Revenue and EV/EBITDA, which necessitate nuanced adjustments to accurately capture intrinsic share valuation.

Analysis of multiples – EV/Sales

	EV/Sales						
Company Name	LTM EV/Sales	NTM EV/Sales	Expected Growth	WACC	RIR	Predicted	(Under)/Over-Valued
The Walt Disney Company	3.00	2.92	71.39%	10.67%	-1.50	3.43	-12.53%
Fox Corporation	1.78	1.39	-11.66%	5.47%	-0.57	3.50	-49.18%
Paramount Global	0.99	0.86	22.21%	6.95%	0.00	2.37	-58.27%
Comcast Corporation	3.73	2.22	4.01%	7.31%	-2.21	4.90	-23.94%
AMC Networks Inc.	3.52	1.78	-10.53%	4.62%	-1.53	1.17	199.91%
Netflix Inc	8.20	5.15	29.93%	9.04%	-0.27	5.84	40.48%
Mean	2.60	1.83					
Median	**3.00**	**1.78**					
25th	**1.78**	**1.39**					
75th	**3.52**	**2.22**					

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.667852653
R Square	0.446027165
Adjusted R Square	-0.384932086
Standard Error	2.960554733
Observations	6

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	3	14.11396468	4.704654895	0.536761778	0.702119574
Residual	2	17.52976865	8.764884325		
Total	5	31.64373333			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	-9.903649464	10.98033024	-0.90194459	0.462280128	-57.14819736	37.34089844	-57.14819736	37.34089844
Expected Growth	-13.4887766	12.80127673	-1.05370557	0.402526765	-68.56822488	41.59067168	-68.56822488	41.59067168
WACC	219.754476	178.9417923	1.228077987	0.344330037	-550.169915	989.678867	-550.169915	989.678867
RIR	0.324327652	1.563150674	0.207483294	0.854841086	-6.401366865	7.050022168	-6.401366865	7.050022168

We chose to look at the Enterprise Value to Sales multiple to compare the firm value to the amount of sales generated. Netflix's EV/Sales multiple for LTM is at 8.20x, which is above the median value of 3.00x, implying potential overvaluation of Netflix's firm value. We then performed a regression using the EV/Sales multiple as the dependent variable. As this is a firm value multiple, we determined the independent variables to be Expected Growth in After-Tax Operating Income (Future EBIT*(1-t) / Current EBIT*(1-t) – 1), WACC and Reinvestment rate (Changes in Net Working Capital + Capital Expenditures – Depreciation / EBIT*(1-t)). With an R-squared value of 78.38%, our **Predicted EV/Sales = -9.90 – 13.48 * Expected Growth + 219.75 ***

WACC + 0.32 * Reinvestment Rate. This gives us a predicted EV/Sales of 5.84 < Actual LTM EV/Sales of 8.20, thereby signalling overvaluation of Netflix by about 40.48%.

Analysis of multiples – EV/EBITDA

			EV/EBITDA					
Company Name	LTM EV/EBITDA	NTM EV/EBITDA	Expected Growth	WACC	RIR	Tax Rate	Predicted	(Under)/Over-Valued
The Walt Disney Company	15.20	13.08	71.39%	10.67%	-1.50	28.92%	26.66	-42.98%
Fox Corporation	7.30	7.17	-11.66%	5.47%	-0.57	27.82%	12.77	-42.82%
Paramount Global	11.60	10.27	22.21%	6.95%	0.00	22.38%	23.78	-51.22%
Comcast Corporation	6.70	7.22	4.01%	7.31%	-2.21	26.23%	18.25	-63.29%
AMC Networks Inc.	6.60	4.91	-10.53%	4.62%	-1.53	31.96%	9.15	-27.90%
Netflix Inc	27.51	22.74	29.93%	9.04%	-0.27	12.85%	35.31	-22.08%
Mean	9.48	8.53						
Median	7.30	7.22						
25th	6.70	7.17						
75th	11.60	10.27						

Regression Statistics	
Multiple R	0.932117944
R Square	0.868843862
Adjusted R Square	0.344219308
Standard Error	6.567783371
Observations	6

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	4	285.7529716	71.4382429	1.656125044	0.519482865
Residual	1	43.1357784	43.1357784		
Total	5	328.88875			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	41.9122741	68.17749503	0.614752333	0.649097572	-824.3649361	908.1894843	-824.3649361	908.1894843
Expected Growth	16.38480021	49.30675877	0.332303332	0.795757565	-610.1169716	642.886572	-610.1169716	642.886572
WACC	-99.38998334	779.0312586	-0.127581509	0.919215513	-9997.920651	9799.140684	-9997.920651	9799.140684
RIR	-0.606728854	6.982806745	-0.086888965	0.944823344	-89.33170099	88.11824329	-89.33170099	88.11824329
Tax Rate	-102.3722867	110.5766748	-0.925803628	0.524515234	-1507.382156	1302.637582	-1507.382156	1302.637582

We chose to look at the Enterprise Value to EBITDA multiple to compare the firm value to the EBITDA value. Netflix's multiple for LTM is at 27.51x, which is above the median value of 7.30x, implying potential overvaluation of Netflix's firm value. We then performed a regression using the EV/EBITDA multiple as the dependent variable, and the independent variables to be Expected Growth in After-Tax Operating Income (Future EBIT*(1-t) / Current EBIT*(1-t) -1), WACC, Reinvestment rate (Changes in Net Working Capital + Capital Expenditures – Depreciation / EBIT*(1-t)) and Tax rate. With an R-squared value of 92.16%, our

Predicted EV/EBITDA = 41.91 + 16.38* Expected Growth – 99.39 * WACC – 0.62 * Reinvestment Rate – 102.37 * Tax Rate. This gives us a predicted EV/EBITDA of 35.31 > Actual LTM EV/EBITDA of 27.32, thereby signalling undervaluation of Netflix by about 22.08%.

Analysis of multiples – P/E ratio

	P/E								
Company Name	LTM EPS	Stock Price	LTM P/E	NTM P/E	5Y Equity beta	Payout ratio	Expected Growth	Predicted	(Under)/Over-Valued
The Walt Disney Company	4.01	115.87	28.90	25.26	1.41	243.18%	17.37%	27.35	5.33%
Fox Corporation	3.25	30.22	9.30	9.61	0.79	159.95%	0.85%	6.39	31.24%
Comcast Corporation	3.98	42.64	10.71	9.68	0.98	150.33%	8.19%	14.56	-35.86%
AMC Networks Inc.	7.20	12.22	1.70	1.90	1.21	443.16%	-7.87%	2.23	-31.51%
Netflix Inc	12.03	627.46	52.16	37.04	0.80	358.44%	28.69%	52.23	-0.13%
Mean			12.65	11.61					
Median			**10.01**	**9.65**					
25th			**7.40**	**7.68**					
75th			**15.26**	**13.58**					

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.992119458
R Square	0.984301018
Adjusted R Square	0.937204073
Standard Error	5.085649915
Observations	5

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	3	1621.62105	540.54035	20.89946633	0.159112882
Residual	1	25.86383506	25.86383506		
Total	4	1647.484885			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	5.239158241	11.06433665	0.473517609	0.718462453	-135.3465685	145.824885	-135.3465685	145.824885
5Y Equity beta	-7.955431227	9.846851237	-0.80791626	0.567385463	-133.0715391	117.1606766	-133.0715391	117.1606766
Payout ratio	3.925541952	2.056306586	1.909025619	0.307186453	-22.20231052	30.05339443	-22.20231052	30.05339443
Expected Growth	136.9085449	18.11239042	7.558833578	0.083735701	-93.23119603	367.0482858	-93.23119603	367.0482858

In terms of the earnings multiple, Netflix is seen to be trading at 52.16x, which is above the median value of 10.01x, implying potential overvaluation of Netflix's equity value. We then performed a regression using the P/E multiple as the dependent variable. As this is an equity multiple, we determined the independent variables to be 5-year Equity Beta, Payout Ratio and Expected Growth in EPS (using geometric average of the next 3 years

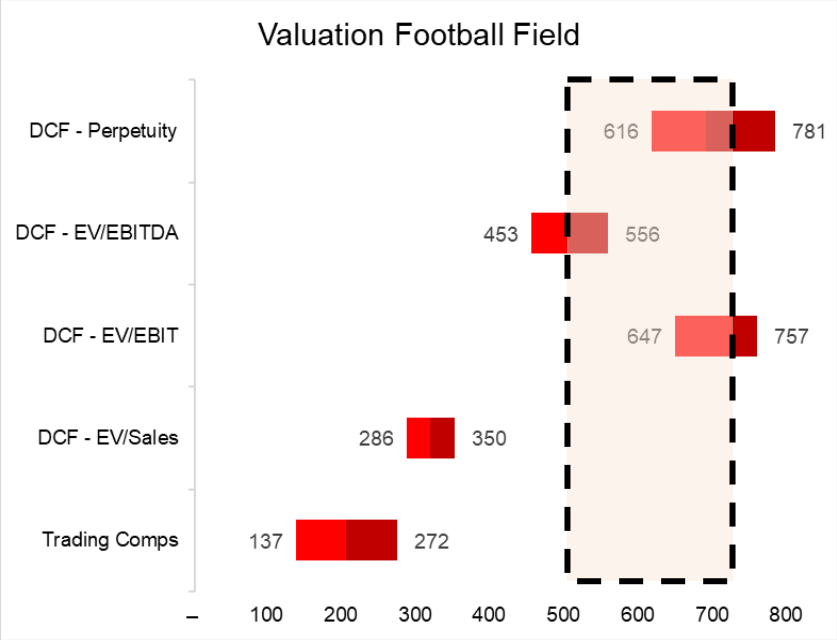
consensus EPS). With an R-squared value of 98.83%, our **Predicted P/E = 5.24 – 7.96 * 5-Year Equity Beta + 3.93 * Payout Ratio + 136.91 * Expected Growth Rate**. This gives us a predicted P/E of 52.23 > Actual LTM P/E of 52.16, thereby signalling undervaluation of Netflix by about 0.13%.

Overall, while both equity and firm value multiples indicate that while Netflix appears significantly overvalued compared to other companies, we believe that the multiple can be justified considering Netflix's much higher growth rate and profit margins compared to the sector. Using multiple regressions shows that Netflix is slightly undervalued once we take into account the fundamentals of growth, risk and cash flow characteristics of the media and entertainment industry.

Valuation

NETFLIX

Football Field Analysis



Our team used a football field analysis to consolidate the various valuation methodologies used across a single diagram and compare the possible ranges for Netflix's share price. As seen from the chart above, the various valuation multiples will provide a different range of fair values for Netflix's share price. We use these to compare to our DCF valuation methodology and the value we derived from it.

Relative Valuation

For relative valuation, the lower and upper limits were obtained based on the average of the first and third quartile of the multiples – EV/EBITDA, EV/EBIT and EV/Sales. We took the LTM multiples, which implies a price range of $136.71 to $205.13.

Discounted Cash Flow

We forecasted a discounted cash flow valuation of $689.05 using the DCF – Perpetuity Method, which ranges from $615.63 to $781.16 based on our sensitivity analysis using differing values for the WACC and terminal growth rate. For the multiples method, we projected a discounted cash flow valuation of 503.44 using the DCF – EV/EBITDA Method, and included a range based on our sensitivity analysis. This is repeated for EV/EBIT and EV/Sales to account for the different multiples and generate a better fair value for Netflix's share price.

Target Share Price

After adopting various valuation methods to assess Netflix's target share price, our team decided on the price obtained using the DCF – Perpetuity method of $689.05. This price also aligns with our forecasts using EV/EBITDA and EV/EBIT multiples. We acknowledge that relative valuation suggests that Netflix is substantially overvalued, but using DCF allows us to mitigate the short-term impact of negative market sentiment. Negative market sentiment is an especially pertinent issue for the traditional media & entertainment industry, which includes competitors mentioned in our relative valuation, such as AMC and Comcast. This is due to the disruption by streaming platforms and subsequent decline in demand for cable TV & cinemas, which has brought down their overall relative valuation.

Furthermore, it is challenging to perform relative valuation for Netflix due to the limited number of streaming companies that are directly comparable to it. For instance, while we compared Netflix against companies in the media and entertainment industry, while may be of similar size to Netflix, their business model is still substantially different from Netflix's model. For these companies, the streaming segment is typically not the main revenue driver of the company, with other segments generating significantly more revenue. For instance, while companies like Disney, Paramount and Comcast have streaming segments, their overall business model differs vastly from streaming, and is instead driven by theme parks, traditional media, and sports content respectively.

Hence, our team concludes that the multiples method may not be the most accurate indicator of Netflix's fair value. Instead, our team prefers the DCF method in assessing Netflix's share price.

Risk 1: Execution risk of mobile-only subscription plans

Previously, we posited that Netflix's growth in the developing EMEA and APAC markets is contingent on its mobile-only strategies. They are pocket-friendly and specially adapted to local market realities.

However, given their budding history, mobile-only plans carry significant execution risk:

(1) EMEA - while the Netflix Mobile Plan in Africa is priced cheaply at USD$3 per month, which is roughly the same price as its closest rival Showmax, numerous other competitors in Africa have tried but failed with similar under-pricing strategies. IROKOTV, the SVOD with the cheapest subscription package and over 83% penetration in Nigeria, shut down in FY22 due to spotty internet availability, currency devaluation, and difficulties invigorating consumer spending after the pandemic.

(2) APAC - while Netflix has first-mover advantage in launching mobile-only plans in 5 APAC countries since 2019, their presence has been challenged by similar strategies by high-capitalised rivals. For instance, Disney+ and Hotstar recently announced plans to release 3 mobile-only tiers in India from September.

Hence, while these mobile-only plans are tailored to local needs, they carry significant uncertainty. We also foresee that Netflix may face challenges differentiating its plans from international competitors with strong cash positions, who are currently pursuing similar strategies. As such, this may affect Netflix's subscriber growth, especially in the less developed regions.

Risk 2: Mobile gaming uncertainty

Despite the hype surrounding Netflix's mobile gaming optionalities, the reality is that most is speculation and there are numerous unknowns over Netflix's ability to overcome cloud infrastructure difficulties to build a resistance-free gaming platform.

Firstly, mobile gaming inherently carries key risks: its interactive nature requires different technical infrastructure to passive, one-way video streaming, requiring low latency and high bandwidth.

Netflix's competitors have also performed poorly in branching out:

- Disney - closed Disney Interactive in 2022, after years of trying to make the "game as a service" model profitable.
- Google - closed Stadia Games and Entertainment in FY22, just 2 years after it opened the studio, and despite acquiring popular third-party games like Destiny and Assassin's Creed Odyssey
- Amazon - games produced by Amazon Game Studios have been met with a torrent of negative comments, with 5 cancellations and multiple launch delays as of FY23.

Gaming distribution is highly monopolised by Apple and Google, which launched a gaming war in FY20 after banning Fortnite from their app stores due to a rule-violating update. With its entry into gaming, Netflix hence exposes itself to potential bans and game cancellations, should it fail to comply with the rules of these tech giants.

Despite the uncertainty, we believe there is still upside for Netflix, for mobile games don't need to meet as tall an order and surpass incumbents like Fortnite and Nintendo's IP. Given Netflix's core offering as a video streaming company, we believe their purpose is merely to spark user engagement levels with movies/shows as the main attraction, which Netflix has already demonstrated success (Stranger Things, Money Heist).

Risk 3: Advertising Subscription Tier experiences limited subscriber upside

According to Netflix's estimates, the ad-supported tier will add about half a million subscribers in 2024. Although supporting a cheaper membership tier with ad revenue seems like a good idea on paper, Netflix may experience a lower level of subscribers with the ad-supported plan, which decreases subscriber and revenue upside.

As noted above, those using the ad-based tier will only have access to most of Netflix's content. Users who subscribe to these plans also won't be able to download content to their devices currently. As such, the addition of ads, combined with the inability to watch Netflix online, could turn viewers away from Netflix (IG, 2023).

However, Netflix seems to be cognisant of this risk, as it has carefully calibrated advertisements to a 4-minute limit per hour of content to reduce negative reactions from subscribers. Consequently, Netflix's ad-supported tier seems to have generated positive results, with 48% of new Netflix subscribers opting for its ad-supported tier in Q4 2023 (Video Week, 2023). Furthermore, Netflix's churn rate due to the ad-supported tier is likely to be limited, as only a quarter of the 12m US Netflix subscribers most at risk of churn are against advertising (Ampere Analysis, 2023). This suggests that Netflix's plan to introduce an ad-supported tier, as part of its new customer retention strategy, should effectively increase subscriber count and limit churn rates.

Catalyst 1: Debt reduction increases margins

Netflix has strong cash flow generating abilities, driven by consistent and fixed payments from a healthy subscriber base. This has enabled Netflix to finance the majority of its content through debt, with debt to equity ratio nearing an all-time high of 1.67 in FY20. That said, based on its FY23 report, management declared it no longer needed to raise additional debt to run daily operations, and guided for $10B-$15B in gross debt in the long term. Hence, we believe that if Netflix manages to maintain a healthy content production while tapering down on cash spending, it can cut debt to ~$10B, which would immediately de-lever its balance sheet and increase the attractiveness of its bottom line.

Catalyst 2: Regular content production schedule in post-COVID

During COVID-19, while we did see tremendous subscriber growth in 1H20 with a record 13.3% increase in subscribers, content production stalled amidst lockdowns. Netflix's current slate of content is hence likely to increase in the latter half of the year, with management explicitly stating in their FY22 earnings call that COVID-19 back-weighted their content slate. Beyond 2023, the heavier content slate is hence likely to drive engagement and net additions, possibly creating a turnaround from Netflix's net loss in UCAN subscribers in the latest quarter.

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Appendix

NETFLIX

Key Financial Statements	Units	Historicals					Forecasts				
		2019A	2020A	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Income Statement											
Revenues	USD'k	20,156,447	24,996,056	29,697,844	31,615,549	33,723,297	39,173,093	46,199,845	54,523,532	64,129,375	71,196,534
Cost of sales	USD'k	(12,440,213)	(15,276,319)	(17,332,683)	(19,168,285)	(19,715,368)	(22,276,379)	(25,849,347)	(28,533,702)	(30,996,494)	(33,700,392)
Gross Profit	USD'k	**7,716,234**	**9,719,737**	**12,365,161**	**12,447,264**	**14,007,929**	**16,896,714**	**20,350,498**	**25,989,830**	**33,132,881**	**37,496,142**
Marketing	USD'k	(2,652,462)	(2,228,362)	(2,545,146)	(2,530,502)	(2,657,883)	(2,892,576)	(3,440,719)	(3,711,516)	(3,806,238)	(3,877,381)
Technology and development	USD'k	(1,545,149)	(1,829,600)	(2,273,885)	(2,711,041)	(2,675,758)	(2,930,851)	(3,485,859)	(3,764,789)	(3,868,897)	(3,946,945)
General and administrative	USD'k	(914,369)	(1,076,486)	(1,351,621)	(1,572,891)	(1,720,285)	(1,816,109)	(2,171,159)	(2,213,222)	(2,043,979)	(1,920,918)
Operating Expenses	USD'k	**(5,111,980)**	**(5,134,448)**	**(6,170,652)**	**(6,814,434)**	**(7,053,926)**	**(7,639,536)**	**(9,097,738)**	**(9,689,527)**	**(9,719,113)**	**(9,745,243)**
EBIT	USD'k	**2,604,254**	**4,585,289**	**6,194,509**	**5,632,830**	**6,954,003**	**9,257,178**	**11,252,760**	**16,300,304**	**23,413,767**	**27,750,899**
Interest expense	%	(626,023)	(767,499)	(765,620)	(706,212)	(699,826)					
Interest and other income (expense)	%	84,000	(618,441)	411,214	337,310	(48,772)					
EBT	USD'k	**2,062,231**	**3,199,349**	**5,840,103**	**5,263,928**	**6,205,405**					
EBITDA	USD'k	**2,707,833**	**4,700,999**	**6,402,921**	**5,969,512**	**7,310,950**	**9,141,530**	**11,104,331**	**16,118,464**	**23,198,378**	**27,230,790**

Page 1

Appendix 1: Income Statement

Balance Sheet																
Check																
Cash and cash equivalents	USD'k	3,348,557	5,004,247	4,435,018	5,018,437	5,018,437	5,151,884	7,153,248	8,392,391	8,205,550	8,205,550	8,403,705	7,777,530	7,526,681	6,027,804	6,027,804
Current content assets, net	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Other current assets	USD'k	820,350	872,910	892,740	1,160,067	1,160,067	1,295,897	1,410,891	1,434,089	1,556,030	1,556,030	1,703,803	1,826,746	1,889,106	2,042,021	2,042,021
Total current assets	USD'k	4,168,907	5,877,157	5,327,758	6,178,504	6,178,504	6,447,781	8,564,139	9,826,480	9,761,580	9,761,580	10,107,508	9,604,276	9,415,787	8,069,825	8,069,825
Non-current content assets, net	USD'k	20,878,317	21,937,845	23,227,772	24,504,567	24,504,567	25,266,889	25,155,117	25,067,633	25,383,950	25,383,950	26,043,991	27,291,640	28,974,045	30,919,539	30,919,539
Property and equipment, net	USD'k	434,372	452,399	481,992	565,221	565,221	650,455	751,941	828,118	960,183	960,183	1,015,419	1,107,437	1,220,114	1,323,453	1,323,453
Other non-current assets	USD'k	1,737,036	1,903,938	1,904,189	2,727,420	2,727,420	2,694,785	2,704,084	2,900,312	3,174,646	3,174,646	2,956,096	2,967,616	3,129,911	4,271,846	4,271,846
Total non-current assets	USD'k	23,049,725	24,294,182	25,613,953	27,797,208	27,797,208	28,612,129	28,611,142	28,796,063	29,518,779	29,518,779	30,015,506	31,366,693	33,324,070	36,514,838	36,514,838
Total assets	USD'k	**27,218,632**	**30,171,339**	**30,941,711**	**33,975,712**	**33,975,712**	**35,059,910**	**37,175,281**	**38,622,543**	**39,280,359**	**39,280,359**	**40,123,014**	**40,970,969**	**42,739,857**	**44,584,663**	**44,584,663**
Current content liabilities	USD'k	4,858,899	4,846,525	4,857,520	4,413,561	4,413,561	4,761,585	4,664,733	4,599,654	4,429,536	4,429,536	4,297,957	4,197,874	4,110,962	4,292,967	4,292,967
Accounts payable	USD'k	439,496	442,194	444,129	674,347	674,347	545,488	446,668	541,298	656,183	656,183	532,942	622,931	643,059	837,483	837,483
Accrued expenses and other liabilities	USD'k	750,720	752,488	1,040,745	843,043	843,043	1,061,090	986,595	1,259,124	1,102,196	1,102,196	1,291,812	1,125,591	1,413,120	1,449,351	1,449,351
Deferred revenue	USD'k	808,692	892,777	915,506	924,745	924,745	986,753	1,029,261	1,040,202	1,117,992	1,117,992	1,140,271	1,187,364	1,182,632	1,209,342	1,209,342
Short-term debt	USD'k	–	–	–	–	–	498,809	499,161	499,517	499,878	499,878	698,788	699,128	699,473	699,823	699,823
Total current liabilities	USD'k	6,857,807	6,933,984	7,257,900	6,855,696	6,855,696	7,853,725	7,626,418	7,939,795	7,805,785	7,805,785	7,961,770	7,832,888	8,049,246	8,488,966	8,488,966
Non-current content liabilities	USD'k	3,560,364	3,564,440	3,419,552	3,334,323	3,334,323	3,206,051	3,208,164	2,926,574	2,618,084	2,618,084	2,465,626	2,265,286	2,301,026	3,094,213	3,094,213
Long-term debt	USD'k	10,305,023	12,594,135	12,425,746	14,759,260	14,759,260	14,170,692	15,294,998	15,547,616	15,809,095	15,809,095	14,860,552	14,926,889	14,793,691	14,693,072	14,693,072
Other non-current liabilities	USD'k	792,380	973,232	977,008	1,444,276	1,444,276	1,420,148	1,710,948	1,875,235	1,982,155	1,982,155	1,950,986	2,082,035	2,281,277	2,459,164	2,459,164
Total non-current assets	USD'k	14,657,767	17,131,807	16,822,306	19,537,859	19,537,859	18,796,891	20,214,110	20,349,425	20,409,334	20,409,334	19,277,164	19,274,210	19,375,994	20,246,449	20,246,449
Total liabilities	USD'k	**21,515,574**	**24,065,791**	**24,080,206**	**26,393,555**	**26,393,555**	**26,650,616**	**27,840,528**	**28,289,220**	**28,215,119**	**28,215,119**	**27,238,934**	**27,107,098**	**27,425,240**	**28,735,415**	**28,735,415**
Common stock	USD'k	2,439,773	2,566,365	2,677,972	2,793,929	2,793,929	2,935,532	3,127,813	3,303,482	3,447,698	3,447,698	3,600,084	3,721,246	3,852,531	4,024,561	4,024,561
Treasury stock at cost	USD'k	–	–	–	–	–	–	–	–	–	–	–	(500,022)	(600,022)	(824,190)	(824,190)
Accumulated other comprehensive income (loss)	USD'k	(25,600)	(20,352)	(41,246)	(23,521)	(23,521)	(47,054)	(34,072)	(1,147)	44,398	44,398	4,137	9,775	(19,835)	(40,495)	(40,495)
Retained earnings	USD'k	3,288,885	3,559,535	4,224,779	4,811,749	4,811,749	5,520,816	6,241,012	7,030,988	7,573,144	7,573,144	9,279,859	10,632,872	12,081,943	12,689,372	12,689,372
Total stockholder's equity	USD'k	5,703,058	6,105,548	6,861,505	7,582,157	7,582,157	8,409,294	9,334,753	10,333,323	11,065,240	11,065,240	12,884,080	13,863,871	15,314,617	15,849,248	15,849,248
Total liabilities and stockholder's equity	USD'k	**27,218,632**	**30,171,339**	**30,941,711**	**33,975,712**	**33,975,712**	**35,059,910**	**37,175,281**	**38,622,543**	**39,280,359**	**39,280,359**	**40,123,014**	**40,970,969**	**42,739,857**	**44,584,663**	**44,584,663**

Appendix 2: Balance Sheet

Cash Flow Statement																
Net income (loss)	USD'k	**344,052**	**270,650**	**665,244**	**586,970**	**1,866,916**	**709,067**	**720,196**	**789,976**	**542,156**	**2,761,395**	**1,706,715**	**1,353,013**	**1,449,071**	**607,429**	**5,116,228**
Additions to content assets	USD'k	(2,997,746)	(3,325,103)	(3,648,292)	(3,945,542)	(13,916,683)	(3,294,275)	(2,510,782)	(2,653,886)	(3,320,341)	(11,779,284)	(3,284,576)	(4,096,750)	(4,666,237)	(5,854,639)	(17,702,202)
Change in content liabilities	USD'k	(14,698)	(12,414)	(95,548)	(571,351)	(694,011)	258,945	(108,432)	(379,458)	(528,488)	(757,433)	(266,040)	(312,208)	(29,246)	840,392	232,898
Amortization of content assets	USD'k	2,124,686	2,231,915	2,279,977	2,579,669	9,216,247	2,483,385	2,607,159	2,733,743	2,982,625	10,806,912	2,719,196	2,806,803	2,963,051	3,741,317	12,230,367
Depreciation and amortization of property, equipment and intangibles	USD'k	23,561	25,496	26,704	27,818	103,579	28,517	26,661	28,589	31,943	115,710	35,741	38,434	70,253	63,984	208,412
Stock-based compensation expense	USD'k	101,200	103,848	100,262	100,066	405,376	97,019	104,210	106,357	107,594	415,180	107,230	101,583	95,078	99,329	403,220
Foreign currency remeasurement loss (gain) on debt	USD'k	(57,600)	61,284	(171,360)	122,100	(45,576)	(93,060)	119,161	249,194	257,983	533,278	(253,330)	63,074	(136,488)	(103,917)	(430,661)
Other non-cash items	USD'k	45,708	60,695	57,934	63,893	228,230	65,448	70,301	83,851	73,526	293,126	72,657	108,103	102,211	93,806	376,777
Deferred income taxes	USD'k	6,627	35,519	52,105	(188,694)	(94,443)	46,619	223,308	(40,277)	(159,584)	70,066	159,733	51,127	50,967	(62,279)	199,548
Other current assets	USD'k	(32,076)	(24,231)	145	(195,951)	(252,113)	(127,353)	3,066	(22,974)	(40,362)	(187,623)	(221,555)	(52,373)	(95,145)	(608)	(369,681)
Accounts payable	USD'k	(124,467)	(2,674)	(7,643)	230,847	96,063	(149,153)	(112,027)	111,677	107,898	(41,605)	(137,313)	72,313	24,836	185,279	145,115
Accrued expenses and other liabilities	USD'k	157,647	(26,705)	260,872	(234,036)	157,778	214,191	(105,450)	266,027	(176,585)	198,183	177,897	(171,430)	269,774	(95,903)	180,338
Deferred revenue	USD'k	47,793	84,085	22,729	9,239	163,846	62,008	42,508	10,941	77,790	193,247	22,279	47,093	(4,732)	26,710	91,350
Other non-current assets and liabilities	USD'k	(4,486)	(26,119)	(44,923)	(47,003)	(122,531)	(41,446)	(38,803)	(19,999)	(93,827)	(194,075)	(61,368)	(72,543)	(11,014)	(144,174)	(289,099)
Net cash provided by (used in) operating activities	USD'k	**(379,799)**	**(543,754)**	**(501,794)**	**(1,461,975)**	**(2,887,322)**	**259,912**	**1,041,076**	**1,263,761**	**(137,672)**	**2,427,077**	**777,266**	**(63,761)**	**82,379**	**(403,274)**	**392,610**
Purchases of property and equipment	USD'k	(60,381)	(39,584)	(45,333)	(107,737)	(253,035)	(98,015)	(141,741)	(109,811)	(148,356)	(497,923)	(81,001)	(110,278)	(167,327)	(165,979)	(524,585)
Change in other assets	USD'k	(19,722)	(10,452)	(4,021)	(99,834)	(134,029)	(288)	(260)	(8,840)	1,957	(7,431)	(4,615)	(1,000)	(21,304)	–	(26,919)
Acquisitions	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	(788,349)	(788,349)
Purchases of short-term investments	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Proceeds from maturities of short-term investments	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Net cash provided by (used in) investing activities	USD'k	**(80,103)**	**(50,036)**	**(49,354)**	**(207,571)**	**(387,064)**	**(98,303)**	**(142,001)**	**(118,651)**	**(146,399)**	**(505,354)**	**(85,616)**	**(111,278)**	**(188,631)**	**(954,328)**	**(1,339,853)**
Proceeds from issuance of debt	USD'k	–	2,243,196	–	2,226,110	4,469,306	–	1,009,464	–	–	1,009,464	–	–	–	–	–
Debt issuance costs	USD'k	–	(18,192)	–	(17,942)	(36,134)	–	(7,559)	–	–	(7,559)	–	–	–	–	–
Proceeds from issuance of common stock	USD'k	22,972	21,896	11,989	15,633	72,490	43,694	89,060	68,665	33,987	235,406	48,071	19,749	18,445	88,149	174,414
Repurchases of common stock	USD'k	–	–	–	–	–	–	–	–	–	–	–	(500,022)	(100,000)	–	(600,022)
Taxes paid related to net share settlement of equity awards	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	(224,168)	(224,168)
Repayments of debt	USD'k	–	–	–	–	–	–	–	–	–	–	(500,000)	–	–	–	(500,000)
Other financing activities	USD'k	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Net cash provided by (used in) financing activities	USD'k	**22,972**	**2,246,900**	**11,989**	**2,223,801**	**4,505,662**	**43,694**	**1,090,965**	**68,665**	**33,987**	**1,237,311**	**(451,929)**	**(480,273)**	**(81,555)**	**(136,019)**	**(1,149,776)**
Effect on exchange rate changes on cash and equivalents	USD'k	(5,014)	4,998	(29,325)	29,810	469	(70,902)	11,819	28,459	66,674	36,050	(42,138)	23,477	(63,843)	(4,236)	(86,740)
Net increase (decrease) in cash and equivalents	USD'k	**(441,944)**	**1,658,108**	**(568,484)**	**584,065**	**1,231,745**	**134,401**	**2,001,859**	**1,242,234**	**(183,410)**	**3,195,084**	**197,583**	**(631,835)**	**(251,650)**	**(1,497,857)**	**(2,183,759)**
Cash and equivalents at beginning of period	USD'k	3,812,041	3,370,097	5,028,205	4,459,721	3,812,041	5,043,786	5,178,187	7,180,046	8,422,280	5,043,786	8,238,870	8,436,453	7,804,618	7,552,968	8,238,870
Cash and equivalents at end of period	USD'k	**3,370,097**	**5,028,205**	**4,459,721**	**5,043,786**	**5,043,786**	**5,178,187**	**7,180,046**	**8,422,280**	**8,238,870**	**8,238,870**	**8,436,453**	**7,804,618**	**7,552,968**	**6,055,111**	**6,055,111**

Appendix 3: Cash Flow Statement

Operating Schedules	Units	Historicals																					
		22Q1	22Q2	22Q3	22Q4	2022A	23Q1	23Q2	23Q3	23Q4	2023A	24Q1	24Q2	24Q3	24Q4	2024E	25Q1	25Q2	25Q3	25Q4	2025E
Revenue Schedule																							
Summary																							
Total streaming revenue	USD'k	7,827,957	7,933,051	7,890,361	7,818,483	31,469,852	8,130,001	8,158,326	8,519,306	8,832,825	33,640,458	9,268,143	9,479,654	9,915,694	10,509,602	39,173,093	10,900,435	11,172,840	11,690,335	12,436,234	46,199,845
Domestic DVD revenue	USD'k	39,810	37,090	35,228	33,569	145,697	27,613	27,613	27,613		82,839										
Total revenue	USD'k	**7,867,767**	**7,970,141**	**7,925,589**	**7,852,052**	**********	**8,157,614**	**8,185,939**	**8,546,919**	**8,832,825**	**********	**9,268,143**	**9,479,654**	**9,915,694**	**********	**********	**********	**11,172,840**	**********	**********	**********
YoY growth rate	%	*3.63%*	*3.50%*	*5.91%*	*1.05%*	*6.46%*	*3.68%*	*2.7%*	*7.94%*	*12.45%*	*6.97%*	*13.91%*	*15.80%*	*16.01%*	*18.38%*	*16.16%*	*17.61%*	*17.86%*	*17.90%*	*18.33%*	*17.94%*
Streaming as % of total revenue	%	*99.49%*	*99.53%*	*99.56%*	*99.57%*	*99.54%*	*99.66%*	*99.66%*	*99.68%*	*100.00%*	*99.75%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*	*100.00%*
Domestic DVD as a % of total revenue	%	*0.51%*	*0.47%*	*0.44%*	*0.43%*	*0.46%*	*0.34%*	*0.34%*	*0.32%*	-	*0.25%*	-	-	-	-	-	-	-	-	-	-
Streaming revenue breakdown																							
Europe, Middle East, and Africa (EMEA)																							
Revenues	USD'k	2,561,831	2,457,235	2,375,814	2,350,135	9,745,015	2,517,641	2,562,170	2,693,146	2,783,530	10,556,487	2,931,365	3,019,325	3,197,241	3,419,633	12,567,563	3,543,627	3,653,049	3,873,990	4,161,760	15,232,426
Paid net membership additions	#'s	*-303*	*-787*	*588*	*3,185*	*2,683*	*644*	*2,434*	*3,353*	*5,053*	*12,084*	*739*	*2,726*	*4,617*	*8,144*	*14,226*	*977*	*3,072*	*5,328*	*7,349*	*16,724*
Paid memberships at end of period	#'s	73,733	72,966	73,534	76,729	76,729	77,373	79,807	83,760	88,813	88,813	89,612	92,338	96,955	103,099	103,099	104,077	107,146	112,474	119,823	119,823
Average paying memberships	#'s	**73,885**	**73,350**	**73,250**	**75,132**	**73,904**	**77,051**	**78,590**	**81,784**	**86,287**	**80,928**	86,937	89,582	94,061	100,022	92,650	100,970	103,948	109,117	116,247	107,570
Average monthly revenue per paying membership (ARPU)	USD	**11.56**	**11.17**	**10.81**	**10.43**	**10.99**	**10.89**	**10.87**	**10.98**	**10.75**	**10.87**	11.24	11.23	11.33	11.40	11.30	11.70	11.71	11.83	11.93	11.80
						6.31%					*9.50%*					*14.48%*					*16.83%*
						-5.46%					*-1.03%*					*3.93%*					*4.38%*
United States and Canada (UCAN)																					
Revenues	USD'k	3,350,424	3,537,863	3,601,565	3,594,791	14,084,643	3,608,645	3,599,449	3,735,133	3,930,557	14,873,783	4,039,647	4,111,215	4,266,096	4,477,534	16,894,493	4,605,517	4,694,782	4,870,026	5,127,072	19,297,396
Paid net membership additions	#'s	*-638*	*1,236*	*894*	*903*	*1,995*	*812*	*1,172*	*1,750*	*2,867*	*5,632*	*638*	*1,300*	*1,897*	*3,279*	*6,892*	*897*	*1,450*	*2,945*	*3,849*	*7,934*
Paid memberships at end of period	#'s	74,579	73,283	73,387	74,296	74,296	74,398	75,571	77,321	80,128	80,128	80,254	81,554	83,451	86,730	86,730	86,880	88,331	90,475	94,324	94,324
Average paying memberships	#'s	**74,897**	**73,931**	**73,335**	**73,842**	**74,001**	**74,347**	**74,985**	**76,446**	**78,725**	**76,126**	79,531	80,880	82,761	86,012	82,311	86,161	87,600	89,727	93,544	89,258
Average monthly revenue per paying membership (ARPU)	USD	**14.91**	**15.95**	**16.37**	**16.23**	**15.87**	**16.18**	**16.00**	**16.29**	**16.64**	**16.28**	16.92	16.94	17.18	17.35	17.10	17.82	17.86	18.09	18.27	18.01
						-0.31%					*2.67%*					*5.12%*					*6.44%*
						8.94%					*2.60%*					*5.05%*					*5.33%*
Latin America (LATAM)																					
Revenues	USD'k	998,948	1,030,234	1,023,945	1,016,846	4,069,973	1,070,192	1,077,435	1,142,811	1,156,023	4,446,461	1,226,574	1,264,264	1,309,499	1,383,646	5,183,983	1,443,079	1,486,652	1,536,202	1,629,174	6,095,106
Paid net membership additions	#'s	*357*	*N*	*316*	*1,783*	*1,738*	*492*	*1,217*	*1,179*	*2,362*	*4,268*	*974*	*1,383*	*1,078*	*2,179*	*5,614*	*1,119*	*1,529*	*1,982*	*3,049*	*7,679*
Paid memberships at end of period	#'s	39,610	39,624	39,936	41,699	41,699	41,243	42,460	43,640	45,997	45,997	46,971	48,334	49,612	52,331	52,331	53,449	54,978	56,960	59,409	59,409
Average paying memberships	#'s	**39,786**	**39,617**	**39,780**	**40,818**	**40,000**	**41,474**	**41,858**	**43,056**	**44,821**	**42,802**	45,962	47,296	48,546	51,207	48,253	52,301	53,797	55,149	58,133	54,845
Average monthly revenue per paying membership (ARPU)	USD	**8.37**	**8.67**	**8.58**	**8.30**	**8.48**	**8.60**	**8.58**	**8.85**	**8.60**	**8.66**	8.90	8.91	8.99	9.01	8.95	9.20	9.21	9.29	9.34	9.26
						3.78%					*7.00%*					*12.73%*					*13.66%*
						9.61%					*2.09%*					*3.39%*					*3.44%*
Asia Pacific (APAC)																					
Revenues	USD'k	916,754	907,719	883,037	856,711	3,570,221	933,523	919,273	948,216	962,715	3,763,727	1,070,556	1,084,851	1,142,858	1,228,789	4,527,053	1,308,212	1,338,358	1,410,117	1,518,228	5,574,916
Paid net membership additions	#'s	*1,097*	*1,080*	*1,429*	*1,798*	*5,391*	*1,459*	*1,869*	*1,887*	*2,317*	*7,315*	*1,804*	*1,222*	*2,242*	*3,540*	*8,808*	*2,179*	*1,365*	*2,583*	*4,194*	*10,291*
Paid memberships at end of period	#'s	33,719	34,799	36,228	38,023	38,023	39,478	40,546	42,427	45,338	45,338	47,142	48,364	50,606	54,146	54,146	56,325	57,690	60,253	64,437	64,437
Average paying memberships	#'s	**33,176**	**34,259**	**35,514**	**37,126**	**35,019**	**38,751**	**40,012**	**41,487**	**43,883**	**41,033**	45,369	46,545	48,703	52,151	48,192	54,407	55,520	57,987	62,013	57,432
Average monthly revenue per paying membership (ARPU)	USD	**9.21**	**8.83**	**8.34**	**7.69**	**8.52**	**8.03**	**7.66**	**7.62**	**7.31**	**7.66**	7.87	7.77	7.82	7.86	7.83	8.04	8.04	8.11	8.16	8.09
						23.04%					*17.18%*					*17.42%*					*19.20%*
						-11.07%					*-10.13%*					*2.28%*					*3.29%*
DVD revenue breakdown																					
Revenues		39,810	37,090	35,228	33,569	145,697	27,613	27,613	27,613												
Profitability by business segment																					
Streaming																					
Revenues	USD'k	7,827,957	7,933,051	7,890,361	7,818,483	31,469,852	8,130,001	8,158,326	8,519,306	8,832,825	33,640,458	9,268,143	9,479,654	9,915,694	10,509,602	39,173,093	10,900,435	11,172,840	11,690,335	12,436,234	46,199,845
Domestic DVD																					
Revenues	USD'k	39,810	37,090	35,228	33,569	145,697	27,613	27,613	27,613												

Appendix 4: Revenue Schedule

Operating Schedules	Units																							Forecasts			
		23Q1	23Q2	23Q3	23Q4	2023A	24Q1	24Q2	24Q3	24Q4	2024E	25Q1	25Q2	25Q3	25Q4	2025E	26Q1	26Q2	26Q3	26Q4	2026E
Cost Schedule																					
Summary																					
Cost of sales	USD'k	4,803,625	4,673,470	4,930,788	5,307,495	19,715,368	5,457,842	5,468,641	5,581,365	5,768,531	22,276,379	6,190,160	6,311,336	6,521,827	6,826,024	25,849,347	6,933,654	6,974,896	7,155,316	7,469,835	28,533,702
COGS margin	%	*58.88%*	*57.08%*	*57.68%*	*60.86%*	*58.46%*	*58.88%*	*57.68%*	*56.29%*	*54.68%*	*56.87%*	*56.78%*	*56.49%*	*55.78%*	*54.88%*	*55.95%*	*53.88%*	*52.88%*	*51.88%*	*50.88%*	*52.33%*
Gross margin	%	*41.10%*	*42.90%*	*42.30%*	*39.10%*	*41.54%*	*41.10%*	*42.30%*	*43.70%*	*45.10%*	*43.10%*	*43.20%*	*43.50%*	*44.20%*	*45.10%*	*44.05%*	*46.10%*	*47.10%*	*48.10%*	*49.10%*	*47.67%*
Amortisation of content assets																					
Amortisation of content assets	USD'k	3,459,384	3,410,021	3,573,353	3,754,079	14,197,437	3,883,486	3,915,235	4,025,916	4,193,484	16,018,121	4,452,986	4,547,508	4,717,220	4,362,238	18,079,953	5,069,683	5,130,325	5,295,512	5,563,522	21,059,042
% of COGS	%	*72.03%*	*72.97%*	*72.47%*	*70.72%*	*72.01%*	*71.15%*	*71.59%*	*72.12%*	*72.70%*	*71.91%*	*71.94%*	*72.08%*	*72.33%*	*72.70%*	*72.26%*	*73.12%*	*73.55%*	*74.01%*	*74.48%*	*73.80%*
% of sales	%	*42.41%*	*41.66%*	*41.81%*	*42.50%*	*42.33%*	*41.90%*	*41.30%*	*40.60%*	*39.90%*	*40.89%*	*40.85%*	*40.70%*	*40.25%*	*39.90%*	*40.43%*	*39.40%*	*38.90%*	*38.40%*	*37.90%*	*38.62%*
Content assets COGS margin incremental step-up/ step-down	%						-0.80%	-0.80%	-0.85%	-0.85%	-1.00%	0.10%	-0.45%	-0.55%	-0.60%	-0.75%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
IsWE impact on COGS	%						0.00%	0.00%	0.00%	0.00%	0.00%	0.75%	0.20%	0.15%	0.10%	0.30%	0.00%	0.00%	0.00%	0.00%	0.00%
Gaming impact on COGS	%						0.20%	0.20%	0.15%	0.15%	0.18%	0.10%	0.10%	0.05%	0.05%	0.08%	0.00%	0.00%	0.00%	0.00%	0.00%
Other cost of sales																					
Other cost of sales	USD'k	1,343,641	1,263,449	1,357,435	1,553,406	5,517,931	1,574,355	1,553,406	1,555,449	1,575,047	6,258,259	1,737,174	1,763,827	1,804,607	1,863,786	7,169,394	1,863,971	1,844,572	1,859,984	1,906,313	7,474,840
% of COGS	%	*27.97%*	*27.03%*	*27.53%*	*29.27%*	*27.98%*	*28.85%*	*28.41%*	*27.87%*	*27.30%*	*28.09%*	*28.06%*	*27.95%*	*27.67%*	*27.30%*	*27.74%*	*26.88%*	*26.45%*	*25.98%*	*25.52%*	*26.20%*
% of sales	%	*16.47%*	*15.43%*	*15.80%*	*17.59%*	*16.36%*	*16.89%*	*16.38%*	*15.63%*	*14.98%*	*15.88%*	*15.94%*	*15.78%*	*15.44%*	*14.99%*	*15.52%*	*14.48%*	*13.88%*	*13.40%*	*12.98%*	*13.71%*
Other COS margin incremental step-up/ step-down	%						-0.80%	-0.80%	-0.85%	-0.85%	-1.00%	0.10%	-0.45%	-0.55%	-0.60%	-0.75%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
IsWE impact on COGS	%						0.00%	0.00%	0.00%	0.00%	0.00%	0.75%	0.20%	0.15%	0.10%	0.30%	0.00%	0.00%	0.00%	0.00%	0.00%
Gaming impact on COGS	%						0.20%	0.20%	0.15%	0.15%	0.18%	0.10%	0.10%	0.05%	0.05%	0.08%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating expenses																					
Revenue for the year	USD'k	8,157,614	8,185,939	8,546,919	8,832,825	33,723,297	9,268,143	9,479,654	9,915,694	10,509,602	39,173,093	10,900,435	11,172,840	11,690,335	12,436,234	46,199,845	12,866,741	12,188,002	12,789,873	14,678,916	54,523,532
Marketing as % of sales	%	*6.81%*	*7.66%*	*6.54%*	*10.38%*	*7.88%*	*7.70%*	*7.55%*	*7.30%*	*7.05%*	*7.38%*	*7.30%*	*7.55%*	*7.50%*	*7.45%*	*8.78%*	*7.20%*	*6.95%*	*6.70%*	*6.45%*	*9.47%*
Tech & development as % of sales	%	*8.42%*	*8.04%*	*7.69%*	*7.62%*	*7.93%*	*7.79%*	*7.64%*	*7.38%*	*7.14%*	*7.46%*	*7.38%*	*7.64%*	*7.59%*	*7.54%*	*8.90%*	*7.29%*	*7.04%*	*6.79%*	*6.54%*	*9.61%*
SG&A as % of sales	%	*4.91%*	*4.38%*	*5.60%*	*4.97%*	*5.10%*	*4.95%*	*4.80%*	*4.55%*	*4.30%*	*4.64%*	*4.55%*	*4.80%*	*4.75%*	*4.70%*	*5.54%*	*4.45%*	*4.20%*	*3.95%*	*3.70%*	*5.63%*
Average marketing % of actual						*7.85%*															
Average tech & development % of actual						*7.94%*															
Average SG&A % of actual						*5.10%*															
Marketing expenses	USD'k	555,362	627,168	558,736	916,617	2,657,883	713,279	715,337	723,451	740,509	2,892,576	795,298	843,105	876,310	926,005	3,440,718	925,894	916,042	923,373	946,207	3,711,516
Tech and development expenses	USD'k	687,275	657,983	657,159	673,341	2,675,758	722,334	724,599	733,140	750,778	2,930,851	805,949	854,022	887,733	938,156	3,485,859	938,466	928,927	936,847	960,549	3,764,789
SG&A	USD'k	400,924	401,497	478,591	439,273	1,720,285	458,592	454,839	450,971	451,708	1,816,109	495,757	536,078	555,063	584,260	2,171,159	572,319	553,639	544,431	542,834	2,213,222
% change in marketing	%						-0.15%	-0.15%	-0.25%	-0.25%	-0.20%	0.25%	0.25%	-0.05%	-0.05%	0.10%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%
% change in tech & development	%						-0.15%	-0.15%	-0.25%	-0.25%	-0.20%	0.25%	0.25%	-0.05%	-0.05%	0.10%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%
% change in SG&A	%						-0.15%	-0.15%	-0.25%	-0.25%	-0.20%	0.25%	0.25%	-0.05%	-0.05%	0.10%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%

Appendix 5: Cost Schedule

Operating Schedules	Units																							Forecasts			
		23Q1	23Q2	23Q3	23Q4	2023A	24Q1	24Q2	24Q3	24Q4	2024E	25Q1	25Q2	25Q3	25Q4	2025E	26Q1	26Q2	26Q3	26Q4	2026E
Bolt-on Expansions																					
Summary																					
Impact on revenue	USD'k						36,408	40,994	49,282	65,485	192,169	89,288	98,379	114,921	146,336	448,924	146,774	155,325	171,160	200,955	674,215
Impact on COGS	USD'k						5,457,842	5,468,641	5,581,365	5,768,531	22,276,379	6,190,160	6,311,336	6,521,827	6,826,024	25,849,347	6,933,654	6,974,896	7,155,316	7,469,835	28,533,702
Net change in gross profit	USD'k						**5,494,249**	**5,509,636**	**5,630,647**	**5,834,016**	**22,468,548**	**6,279,448**	**6,409,714**	**6,636,748**	**6,972,360**	**26,298,271**	**7,080,429**	**7,130,222**	**7,326,476**	**7,670,790**	**29,207,917**
Impact on marketing	USD'k						18,536	18,959	9,916	10,510	57,921	59,952	61,451	29,226	31,091	181,719	-	-	-	-	-
Impact on tech & development	USD'k						18,536	18,959	9,916	10,510	57,921	59,952	61,451	29,226	31,091	181,719	-	-	-	-	-
Impact on SG&A	USD'k						19,536	18,959	9,916	10,510	57,921	59,952	61,451	29,226	31,091	181,719	-	-	-	-	-
Net change in gross profit	USD'k						**37,073**	**37,919**	**19,831**	**21,019**	**115,842**	**119,905**	**122,901**	**58,452**	**62,181**	**363,439**	-	-	-	-	-
WWE & Gaming																					
EMEA revenue impact	USD'k						11,473	13,378	17,681	24,535	67,067	32,135	36,038	44,300	57,857	170,330	57,743	61,433	69,689	82,749	271,613
UCAN revenue impact	USD'k						17,208	18,570	20,487	25,442	81,707	39,884	41,172	46,580	58,002	183,638	55,549	58,480	63,363	74,206	251,598
LATAM revenue impact	USD'k						3,803	4,531	5,889	6,885	20,398	8,114	9,306	10,382	12,891	40,673	13,866	15,027	16,834	18,242	62,968
APAC revenue impact	USD'k						3,923	4,515	6,025	8,623	23,087	10,955	11,782	13,759	17,587	54,083	19,617	20,384	22,275	25,759	88,036
EMEA memberships impact	#'s						26	49	111	192	*367*	51	98	203	344	*696*	41	86	186	309	*622*
UCAN memberships impact	#'s						4	21	25	79	*129*	7	47	77	177	*308*	6	41	60	154	*261*
LATAM memberships impact	#'s						31	24	17	61	*133*	37	43	27	86	*193*	23	37	21	73	*154*
APAC memberships impact	#'s						58	26	60	105	*249*	87	33	74	149	*343*	65	27	64	126	*282*
EMEA take rate impact	USD						0.04	0.04	0.04	0.04	0.04	0.06	0.06	0.06	0.06	0.06	0.05	0.05	0.05	0.05	0.05
UCAN take rate impact	USD						0.07	0.07	0.07	0.07	0.07	0.12	0.12	0.12	0.12	0.12	0.11	0.11	0.11	0.11	0.11
LATAM take rate impact	USD						0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02
APAC take rate impact	USD						0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02

Appendix 6: Bolt-on Schedule

Working Capital Schedule											
Inputs											
Days in year	Days					365	365	365	365	365	365
Total revenue	USD'k	20,156,447	24,996,056	29,697,844	31,615,549	33,723,297	39,173,093	46,199,845	54,523,532	64,129,375	71,196,534
Total COGS	USD'k	12,440,213	15,276,319	17,332,683	19,168,285	19,715,368	22,276,379	25,849,347	28,533,702	30,996,494	33,700,392
Projections											
Days receivable	Days	8.23	8.92	9.89	11.42	19.94	11.77	9.11	8.03	9.08	9.31
Days payable	Days	19.79	15.68	17.64	12.79	13.84	22.28	28.44	32.18	28.35	27.64
Accounts receivable	USD'k	454,399	610,819	804,320	988,898	1,842,054	1,263,493	1,153,037	1,198,975	1,595,520	1,815,633
Accounts payable	USD'k	674,347	656,183	837,483	671,513	747,412	1,360,076	2,014,256	2,515,606	2,407,798	2,552,390
% change in days receivable	Days						-10.00%	-5.00%	-2.50%	2.50%	2.50%
% change in days payable	Days						10.00%	5.00%	2.50%	-2.50%	-2.50%
Projections											
Increase / (decrease) in days receivable	USD'k		(156,420)	(193,501)	(184,578)	(853,156)	578,561	110,455	(45,937)	(396,546)	(220,113)
Increase / (decrease) in days payable	USD'k		(18,164)	181,300	(165,970)	75,899	612,664	654,180	501,349	(107,807)	(144,592)
Change in NOWC	USD'k						**1,191,225**	**764,635**	**455,412**	**(504,353)**	**(364,705)**

Appendix 7: Working Capital Schedule

Depreciation & Amortisation Schedule											
CAPEX											
Assumptions:											
Useful life of all assets	17 years										
% change in terminal year CAPEX	0%										
PPE at end of 23A	1,491,444										
CAPEX	USD'k	253,035	497,923	524,585	407,729	348,552	416,740	540,892	551,287	553,554	553,554
% change in CAPEX	%						10.00%	5.00%	0.00%	0.00%	0.00%
PPE											
Beginning PPE							**1,491,444**	**1,792,536**	**2,184,999**	**2,554,446**	**2,892,610**
Additions: CAPEX							416,740	540,892	551,287	553,554	553,554
Additions / (subtractions) in other CAPEX							-	-	-	-	-
Depreciation of existing PPE							*(90,391)*	*(90,391)*	*(90,391)*	*(90,391)*	*(361,562)*
Depreciation of new CAPEX:											
2024E	416,740						*(25,257)*	*(25,257)*	*(25,257)*	*(25,257)*	*(25,257)*
2025E	540,892							*(32,781)*	*(32,781)*	*(32,781)*	*(32,781)*
2026E	551,287								*(33,411)*	*(33,411)*	*(33,411)*
2027E	553,554									*(33,549)*	*(33,549)*
2028E	553,554										*(33,549)*
Total depreciation of new CAPEX	USD'k						(25,257)	(58,038)	(91,450)	(124,998)	(158,547)
Total depreciation	USD'k						(115,647)	(148,429)	(181,840)	(215,389)	(520,109)
Closing PPE	USD'k	**565,221**	**960,183**	**1,323,453**	**1,398,257**	**1,491,444**	**1,792,536**	**2,184,999**	**2,554,446**	**2,892,610**	**2,926,055**

Appendix 8: Depreciation & Amortization Schedule

Drivers		Forecasts																				
	Units	24Q1	24Q2	24Q3	24Q4	**2024E**	25Q1	25Q2	25Q3	25Q4	**2025E**	26Q1	26Q2	26Q3	26Q4	**2026E**	27Q1	27Q2	27Q3	27Q4	**2027E**	**2028E**
Live Case																						
Scenario	Base	1																				
Derived paid net membership additions																						
Total Q growth in EMEA memberships	#	799	2,726	4,617	6,144	14,286	977	3,070	5,328	7,349	16,724	1,136	3,401	6,047	8,539	19,124	1,275	3,693	6,714	9,585	21,267	1,415
Total Q growth in UCAN memberships	#	126	1,300	1,897	3,279	6,602	150	1,450	2,145	3,849	7,594	171	1,593	2,355	4,388	8,507	189	1,735	2,565	4,835	9,324	207
Total Q growth in LATAM memberships	#	974	1,363	1,278	2,719	6,334	1,119	1,529	1,382	3,049	7,078	1,220	1,688	1,471	3,366	7,746	1,306	1,826	1,575	3,604	8,312	1,402
Total Q growth in APAC memberships	#	1,804	1,222	2,242	3,540	8,808	2,179	1,365	2,563	4,184	10,291	2,506	1,501	2,883	4,812	11,702	2,788	1,619	3,175	5,353	12,936	3,071
Base Q growth in EMEA memberships	#	773	2,677	4,506	5,963	13,919	926	2,971	5,125	7,005	16,027	1,095	3,315	5,861	8,231	18,501	1,249	3,639	6,592	9,393	20,873	1,390
Base Q growth in UCAN memberships	#	122	1,279	1,873	3,200	6,473	143	1,404	2,068	3,672	7,286	165	1,552	2,295	4,234	8,246	185	1,704	2,520	4,739	9,148	203
Base Q growth in LATAM memberships	#	942	1,339	1,262	2,658	6,200	1,081	1,486	1,355	2,964	6,885	1,197	1,651	1,451	3,293	7,592	1,294	1,806	1,560	3,568	8,227	1,388
Base Q growth in APAC memberships	#	1,746	1,196	2,182	3,435	8,559	2,093	1,332	2,489	4,035	9,949	2,441	1,474	2,819	4,686	11,420	2,757	1,606	3,143	5,293	12,799	3,039
Expected % increase in memberships																						
Base growth in EMEA memberships	%	20.00%	10.00%	14.00%	18.00%	15.50%	16.00%	9.00%	11.00%	14.00%	12.50%	12.00%	8.00%	10.00%	12.00%	10.50%	10.00%	7.00%	9.00%	10.00%	9.00%	9.00%
Base growth in UCAN memberships	%	20.00%	9.00%	7.00%	14.00%	12.50%	13.00%	8.00%	9.00%	12.00%	10.50%	10.00%	7.00%	7.00%	10.00%	8.50%	8.00%	7.00%	7.00%	8.00%	7.50%	7.50%
Base growth in LATAM memberships	%	20.00%	10.00%	7.00%	13.00%	12.50%	11.00%	9.00%	6.00%	9.00%	8.75%	7.00%	8.00%	5.00%	8.00%	7.00%	6.00%	7.00%	6.00%	6.00%	6.25%	6.25%
Base growth in APAC memberships	%	20.00%	12.00%	16.00%	18.00%	16.50%	16.00%	9.00%	11.00%	14.00%	12.50%	12.00%	8.00%	10.00%	12.00%	10.50%	10.00%	7.00%	9.00%	10.00%	9.00%	9.00%
YoY growth in EMEA memberships	%	24.00%	12.00%	16.80%	21.60%	18.60%	22.40%	12.60%	15.40%	19.60%	17.50%	16.20%	10.80%	13.50%	16.20%	14.18%	12.25%	8.58%	11.03%	12.25%	11.03%	11.03%
YoY growth in UCAN memberships	%	24.00%	10.80%	8.40%	16.80%	15.00%	18.85%	11.60%	13.05%	17.40%	15.23%	14.00%	9.80%	9.80%	14.00%	11.90%	10.20%	8.93%	8.93%	10.20%	9.56%	9.56%
YoY growth in LATAM memberships	%	24.00%	12.00%	8.40%	15.60%	15.00%	14.85%	12.15%	8.10%	12.15%	11.81%	9.10%	10.40%	6.50%	10.40%	9.10%	7.05%	8.23%	7.05%	7.05%	7.34%	7.34%
YoY growth in APAC memberships	%	24.00%	14.40%	19.20%	21.60%	19.80%	20.80%	11.70%	14.30%	18.20%	16.25%	15.00%	10.00%	12.50%	15.00%	13.13%	11.25%	7.88%	10.13%	11.25%	10.13%	10.13%
EMEA growth from bolt-on expansions	%	20.00%	20.00%	20.00%	20.00%	20.00%	40.00%	40.00%	40.00%	40.00%	40.00%	35.00%	35.00%	35.00%	35.00%	35.00%	22.50%	22.50%	22.50%	22.50%	22.50%	22.50%
UCAN growth from bolt-on expansions	%	20.00%	20.00%	20.00%	20.00%	20.00%	45.00%	45.00%	45.00%	45.00%	45.00%	40.00%	40.00%	40.00%	40.00%	40.00%	27.50%	27.50%	27.50%	27.50%	27.50%	27.50%
LATAM growth from bolt-on expansions	%	20.00%	20.00%	20.00%	20.00%	20.00%	35.00%	35.00%	35.00%	35.00%	35.00%	30.00%	30.00%	30.00%	30.00%	30.00%	17.50%	17.50%	17.50%	17.50%	17.50%	17.50%
APAC growth from bolt-on expansions	%	20.00%	20.00%	20.00%	20.00%	20.00%	30.00%	30.00%	30.00%	30.00%	30.00%	25.00%	25.00%	25.00%	25.00%	25.00%	12.50%	12.50%	12.50%	12.50%	12.50%	12.50%
Derived monthly revenue per paying membership																						
EMEA	US$	11.24	11.23	11.33	11.40	11.30	11.70	11.71	11.83	11.93	11.80	12.20	12.23	12.35	12.45	12.31	12.71	12.74	12.86	12.96	12.82	13.24
UCAN	US$	16.92	16.94	17.18	17.35	17.10	17.82	17.86	18.09	18.27	18.01	18.75	18.80	19.03	19.22	18.95	19.69	19.74	19.97	20.15	19.89	20.66
LATAM	US$	8.90	8.91	8.99	9.01	8.95	9.20	9.21	9.29	9.34	9.26	9.51	9.53	9.61	9.67	9.58	9.84	9.86	9.94	10.01	9.91	10.19
APAC	US$	7.87	7.77	7.82	7.86	7.83	8.04	8.04	8.11	8.16	8.09	8.31	8.32	8.39	8.45	8.37	8.60	8.61	8.68	8.74	8.66	8.89
EMEA (base)	US$	11.20	11.19	11.29	11.35	11.26	11.64	11.65	11.77	11.87	11.74	12.15	12.17	12.30	12.40	12.26	12.68	12.71	12.83	12.93	12.79	13.20
UCAN (base)	US$	16.85	16.87	17.11	17.28	17.03	17.70	17.74	17.97	18.15	17.89	18.64	18.69	18.92	19.10	18.84	19.61	19.67	19.90	20.08	19.81	20.58
LATAM (base)	US$	8.87	8.89	8.97	8.99	8.93	9.17	9.19	9.26	9.32	9.24	9.49	9.51	9.58	9.65	9.56	9.82	9.84	9.92	9.98	9.89	10.16
APAC (base)	US$	7.85	7.75	7.80	7.84	7.81	8.02	8.02	8.09	8.14	8.07	8.29	8.30	8.37	8.42	8.35	8.58	8.59	8.66	8.72	8.64	8.87
Net growth in EMEA take rate	%	3.38%	3.38%	3.38%	3.38%	3.38%	3.53%	3.53%	3.53%	3.53%	3.53%	3.45%	3.45%	3.45%	3.45%	3.45%	3.27%	3.27%	3.27%	3.27%	3.27%	3.27%
Net growth on UCAN take rate	%	3.94%	3.94%	3.94%	3.94%	3.94%	4.20%	4.20%	4.20%	4.20%	4.20%	4.11%	4.11%	4.11%	4.11%	4.11%	3.89%	3.89%	3.89%	3.89%	3.89%	3.89%
Net growth in LATAM take rate	%	2.75%	2.75%	2.75%	2.75%	2.75%	2.81%	2.81%	2.81%	2.81%	2.81%	2.75%	2.75%	2.75%	2.75%	2.75%	2.61%	2.61%	2.61%	2.61%	2.61%	2.61%
Net growth in APAC take rate	%	2.75%	2.75%	2.75%	2.75%	2.75%	2.75%	2.75%	2.75%	2.75%	2.75%	2.69%	2.69%	2.69%	2.69%	2.69%	2.58%	2.58%	2.58%	2.58%	2.58%	2.58%
Growth in take rate per membership																						
Q growth in EMEA take rate	%	3.00%																				
Q growth in UCAN take rate	%	3.50%																				
Q growth in LATAM take rate	%	2.50%																				
Q growth in APAC take rate	%	2.50%																				

Average paying memberships																						
EMEA paying membership %	%	97.02%	97.02%																			
UCAN paying membership %	%	99.17%	99.17%																			
LATAM paying membership %	%	97.85%	97.85%																			
APAC paying membership %	%	96.24%	96.24%																			
Content Assets																						
Q growth in content assets (net)	%	-10.00%	-10.00%	-10.00%	-10.00%	-10.00%	5.00%	5.00%	5.00%	5.00%	5.00%	-2.50%	-2.50%	-2.50%	-2.50%	-2.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
Cost of Sales																						
Other COS margin incremental step-up / step-down	%	-1.00%	-1.00%	-1.00%	-1.00%	-1.00%	-0.75%	-0.75%	-0.75%	-0.75%	-0.75%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
Content assets COGS margin incremental step-up / step-down	%	-1.00%	-1.00%	-1.00%	-1.00%	-1.00%	-0.75%	-0.75%	-0.75%	-0.75%	-0.75%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%	-0.50%
Operating Expenses																						
Marketing incremental % change	%	-0.35%	-0.35%	-0.35%	-0.35%	-0.35%	-0.30%	-0.30%	-0.30%	-0.30%	-0.30%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%
Technology and development incremental % change	%	-0.35%	-0.35%	-0.35%	-0.35%	-0.35%	-0.30%	-0.30%	-0.30%	-0.30%	-0.30%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%
General and administrative incremental % change	%	-0.35%	-0.35%	-0.35%	-0.35%	-0.35%	-0.30%	-0.30%	-0.30%	-0.30%	-0.30%	-0.25%	-0.25%	-0.25%	-0.25%	-0.25%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%	-0.20%
Marketing implied % of sales	%	7.70%	7.55%	7.30%	7.05%	7.40%	7.30%	7.55%	7.50%	7.45%	7.45%	7.20%	6.95%	6.70%	6.45%	6.82%	6.25%	6.05%	5.85%	5.65%	5.95%	5.45%
Technology and development implied % of sales	%	7.79%	7.64%	7.39%	7.14%	7.49%	7.39%	7.64%	7.59%	7.54%	7.54%	7.29%	7.04%	6.79%	6.54%	6.92%	6.34%	6.14%	5.94%	5.74%	6.04%	5.54%
General and administrative implied % of sales	%	4.95%	4.80%	4.55%	4.30%	4.65%	4.55%	4.80%	4.75%	4.70%	4.70%	4.45%	4.20%	3.95%	3.70%	4.07%	3.50%	3.30%	3.10%	2.90%	3.20%	2.70%
WWE expansion																						
Effect on EMEA take rate	%						7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%
Effect on UCAN take rate	%						10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%
Effect on LATAM take rate	%						5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%
Effect on APAC take rate	%						2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Effect on EMEA growth in subs	%						25.00%	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%	15.00%	15.00%	15.00%	15.00%	15.00%	15.00%
Effect on UCAN growth in subs	%						30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
Effect on LATAM growth in subs	%						20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Effect on APAC growth in subs	%						15.00%	15.00%	15.00%	15.00%	15.00%	15.00%	15.00%	15.00%	15.00%	15.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%
Effect on COGS incremental step-up / step-down	%						0.75%	0.20%	0.15%	0.10%	0.30%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on other COS incremental step-up / step-down	%						0.75%	0.20%	0.15%	0.10%	0.30%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on marketing	%						0.50%	0.50%	0.25%	0.25%	0.38%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on technology and development	%						0.50%	0.50%	0.25%	0.25%	0.38%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on general and administrative	%						0.50%	0.50%	0.25%	0.25%	0.38%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Gaming expansion																						
Effect on EMEA take rate	%	12.50%	12.50%	12.50%	12.50%	12.50%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%
Effect on UCAN take rate	%	12.50%	12.50%	12.50%	12.50%	12.50%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%
Effect on LATAM take rate	%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	5.00%	5.00%	5.00%	5.00%	5.00%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
Effect on APAC take rate	%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	5.00%	5.00%	5.00%	5.00%	5.00%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
Effect on EMEA growth in subs	%	20.00%	20.00%	20.00%	20.00%	20.00%	15.00%	15.00%	15.00%	15.00%	15.00%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%
Effect on UCAN growth in subs	%	20.00%	20.00%	20.00%	20.00%	20.00%	15.00%	15.00%	15.00%	15.00%	15.00%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%
Effect on LATAM growth in subs	%	20.00%	20.00%	20.00%	20.00%	20.00%	15.00%	15.00%	15.00%	15.00%	15.00%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%
Effect on APAC growth in subs	%	20.00%	20.00%	20.00%	20.00%	20.00%	15.00%	15.00%	15.00%	15.00%	15.00%	10.00%	10.00%	10.00%	10.00%	10.00%	7.50%	7.50%	7.50%	7.50%	7.50%	7.50%
Effect on content assets COS incremental step-up / step-down	%	0.20%	0.20%	0.15%	0.15%	0.18%	0.10%	0.10%	0.05%	0.05%	0.08%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on other COS incremental step-up / step-down	%	0.20%	0.20%	0.15%	0.15%	0.18%	0.10%	0.10%	0.05%	0.05%	0.08%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on marketing	%	0.20%	0.20%	0.10%	0.10%	0.15%	0.05%	0.05%	0.00%	0.00%	0.03%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on technology and development	%	0.20%	0.20%	0.10%	0.10%	0.15%	0.05%	0.05%	0.00%	0.00%	0.03%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Effect on general and administrative	%	0.20%	0.20%	0.10%	0.10%	0.15%	0.05%	0.05%	0.00%	0.00%	0.03%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
NWC																						
Days receivable change	%	-10.00%	-10.00%	-10.00%	-10.00%	-10.00%	-5.00%	-5.00%	-5.00%	-5.00%	-5.00%	-2.50%	-2.50%	-2.50%	-2.50%	-2.50%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
Days payable change	%	10.00%	10.00%	10.00%	10.00%	10.00%	5.00%	5.00%	5.00%	5.00%	5.00%	2.50%	2.50%	2.50%	2.50%	2.50%	-2.50%	-2.50%	-2.50%	-2.50%	-2.50%	-2.50%
PPE																						
Increase / (decrease) in PPE	%	10.00%	10.00%	10.00%	10.00%	10.00%	5.00%	5.00%	5.00%	5.00%	5.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Increase / (decrease) in terminal year CAPEX	%	0.00%																				

Appendix 9: Drivers

Bottom-up beta (source: CAPIQ)

Company Name (Ticker)	5Y Equity beta	Market Cap (USD'm)	Total Debt (USD'm)	D/E Ratio	Marginal Tax Rate	Asset Beta	Cash (USD'm)	Cash/Firm value	Asset Beta corrected for cash
Warner Bros. Discovery, Inc. (WBD)	1.51	27,750	47,290	1.70	21%	0.643573633	3,780	5.04%	0.677712116
The Walt Disney Company (DIS)	1.41	165,260	50,572	0.31	21%	1.13549274	14,182	6.57%	1.215351694
Fox Corporation (FOXA)	0.79	13,850	8,207	0.59	21%	0.538101353	4,272	19.37%	0.667354599
Paramount Global (PARA)	1.78	9,830	16,116	1.64	21%	0.775537594	2,460	9.48%	0.856769923
Comcast Corporation (CMCSA)	0.98	176,500	103,676	0.59	21%	0.669378079	6,215	2.22%	0.684563397
AMC Networks Inc. (AMCX)	1.21	818	2,483	3.03	21%	0.356261837	571	17.28%	0.430707382
								Average Unlevered Beta	**0.755409852**

Cost of debt (source: Netflix Form 10-K)

As of 31/12/2023

Senior Notes Rate	PV (Level 2 FV)	FV	Issuance Date	Maturity	PMT	N	YTM	
4.875%	-1,012	1,000	Oct 2019	Jun 2030	24.375	13	4.66%	*Based on the latest senior notes issued*

Operating regions ERP

From Damodaran estimates, Jan 2024

Region	Revenues	ERP	Weight	Weighted ERP
Europe, Middle East, and Africa (EMEA)	10,556,487	5.98%	31.38%	1.88%
United States and Canada (UCAN)	14,873,783	4.60%	44.21%	2.03%
Latin America (LATAM)	4,446,461	12.92%	13.22%	1.71%
Asia Pacific (APAC)	3,763,727	7.43%	11.19%	0.83%
Total	33,640,458		100.00%	
Equity Risk Premium				**6.45%**

WACC & Inputs

		Source	
Marginal tax rate	21.00%		
Total debt ('000)	16,973,374	Netflix Form 10-K	18508811
Market cap ('000)	213,500,000	CAPIQ	
Market D/E ratio	7.95%		
Equity beta	0.80		
Market risk premium	6.45%		
Risk free rate	4.29%	10 Year US Treasury Yield, 20/03/2024	
Cost of equity	**9.47%**		
Cost of debt	4.66%		
Cost of debt (after tax)	3.68%		
WACC	**9.04%**		

Terminal Growth Rate

From IMF World Economic Outlook, Jan 2024

Region	Revenues	Weight	2028f real GDP Growth	2028f Inflation rate	2028f nominal GDP growth
Europe, Middle East, and Africa (EMEA)	10,556,487	31.38%	3.2%	3.3%	3.34%
United States and Canada (UCAN)	14,873,783	44.21%	2.1%	2.1%	2.14%
Latin America (LATAM)	4,446,461	13.22%	2.5%	5.7%	2.64%
Asia Pacific (APAC)	3,763,727	11.19%	3.9%	4.8%	4.09%
Total	33,640,458	100.00%			
Terminal Growth Rate					**2.80%**

Appendix 10: Beta, WACC, Terminal Growth Schedules

Output

Enterprise Value

GGM Manual Method	USD'k	318,098,428
GGM XNPV Function	USD'k	311,221,144
TM EBITDA Manual Method	USD'k	235,968,324
TM EBITDA XNPV Function	USD'k	230,868,394
TM Sales Manual Method	USD'k	199,895,424
TM Sales XNPV Function	USD'k	195,576,137
TM EBIT Manual	USD'k	326,883,092
TM EBIT XNPV	USD'k	319,815,702
Enterprise Value	USD'k	**267,290,831**

Equity Value

Manual Method	USD'k	274,039,072
Less: Net Debt	USD'k	(9,856,461)
Equity Value	USD'k	**264,182,611**

Equity Value (Per Share)

Equity Value	USD'k	**264,182,611**
Shares Outstanding	#'k	445,535
Share Price	USD/sh	**592.96**

Enterprise Value (Present)

EV/EBITDA	USD'k	69,307,806
EV/EBIT	USD'k	101,528,444
EV/Sales	USD'k	101,169,891
Enterprise Value	USD'k	**90,668,714**

LTM EV/EBITDA

25th	6.70x
Median	9.48x
75th	11.60x

EV based on 25th (Present)

EV/EBITDA	USD'k	48,983,365
EV/EBIT	USD'k	73,712,432
EV/Sales	USD'k	60,027,469
Enterprise Value	USD'k	**60,907,755**

LTM EV/Sales

25th	1.78x
Median	3.00x
75th	3.52x

EV based on 75th (Present)

EV/EBITDA	USD'k	84,807,020
EV/EBIT	USD'k	159,942,069
EV/Sales	USD'k	118,706,005
Enterprise Value	USD'k	**121,151,698**

LTM EV/EBIT

25th	10.60x
Median	14.60x
75th	23.00x

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